

Contents

Welcome to the Central Bank of Armenia	2
Lessons from the 1970s: The “Great Inflation”	5
When Money Aggregates Failed Why the Money “Abandoned” Us	8
The Birth of Inflation Targeting: A New Era in Monetary Policy	12
Principles 1 & 2 A Clear Nominal Anchor and Consistency Between Objectives	16
Principles 3 & 4: MP and Other Policies — The Inflation–Output Trade-Off	20
Monetary Policy Transmission Mechanisms	25
Principles 5 & 6: Independence, Transparency, and Accountability	29
When the World Changed: The Limits of FPAS Mark I	33
FPAS Mark II: The Least-Regrets Mindset.....	37
Scenario-Based Forward Guidance	43
Building Scenarios: The 3R Principle	48
Changing Roles: Board and Staff under FPAS Mark II.....	53
Policy-Making Cycle and Policy-Relevant Analysis	57
Analytical Toolkit and Modeling Innovations	61
Dynamic Learning and Human Capital Development.....	65
Organization, Rotation, and Performance Management	68
Strategic Communication in Modern Central Banking	73
Measuring and Enhancing Transparency	77
Decision-Making Transparency and Individual Accountability.....	80
The Accountability Framework	83

Welcome to the Central Bank of Armenia

Note

Welcome to the Central Bank of Armenia and the **CBA Academy**! This onboarding program introduces you to the ideas, principles, and practices that guide modern monetary policy and the CBA's **Prudent Risk Management Approach (FPAS Mark II)**. Through short, focused videos, you'll explore how the CBA makes policy decisions under uncertainty—combining global lessons with Armenia's own experience. The goal is not technical mastery, but shared understanding, sound judgment, and a common language for effective decision-making.

Welcome to the Central Bank of Armenia

Hi, I'm **Vazgen Poghosyan**, Head of the Monetary Policy Department at the Central Bank of Armenia.

I want to start by welcoming you to the Central Bank of Armenia and to this special learning platform we call the **CBA Academy**.

Congratulations on your appointment!

Joining the Central Bank of Armenia is not just an honor—it's a responsibility. You're stepping into a role that helps shape the future of Armenia's economy, and we're here to ensure you're fully equipped for that task.

This onboarding journey is about more than learning the mechanics of monetary policy. It's about building a shared mindset for making decisions under uncertainty—that's what modern central banking is really about.

So, what is the **CBA Academy**?

It's our internal learning hub—a space to reflect, ask questions, and engage with the big ideas that guide our work.

We've designed this video series to help you connect the dots between **global monetary-policy thinking** and the specific framework we use here in Armenia—a framework known as **FPAS Mark II**, or the **Prudent Risk Management Approach**.

The structure is simple:

1. **We begin with history**—lessons from past policy failures and successes.
2. Then we walk through the **core principles of inflation targeting**: establishing clear nominal anchors, strengthening communication, and designing resilient institutions.
3. From there, we examine the **limits of FPAS Mark I** and how **FPAS Mark II** evolved to address a more uncertain and complex world.

We'll also walk you through our **decision-making cycle**, the scenarios we use, and how staff and Board roles are designed to support **high-quality judgment**.

These are short videos—five to ten minutes each—but don't mistake brevity for simplicity. The goal isn't to give you a checklist; it's to build **intuition**—a way of thinking, a toolkit for navigating complexity.

There are no exams, no equations—just meaningful conversations backed by **practical experience** and **modern institutional thinking** from Armenia and beyond.

As you watch, I encourage you to think not only about the technical content, but also about **how we make decisions together**.

At the CBA, we take pride in being a **learning organization**.

That means we expect questions, welcome diverse views, and value reflection just as much as action.

This series is only the beginning—it's designed to get us on the same page and build a shared foundation.

But the real learning will happen in the conversations you have with staff, Board members, and—most importantly—in the **decisions you help make**.

So once again, **welcome to the CBA**.

I'm **Vazgen Poghosyan**, and I look forward to learning and growing together in the next episodes.

Literature & Further Reading

- [Central Bank of Armenia — Official Website](#)
- [The Better Policy Project](#)
- [Prudent Risk Management Approach to Monetary Policy \(Book\)](#)
- [FPAS Mark II: Avoiding Dark Corners and Eliminating the Folly in Baselines and Local Approximations](#)

Lessons from the 1970s: The “Great Inflation”

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November 2025

Note

The 1970s — known as *The Great Inflation* — marked one of the most turbulent periods in modern economic history. This lesson explores how policy errors, shifting expectations, and global shocks combined to destabilize prices, leading to fundamental changes in how central banks operate. The key takeaway: credibility and expectations are the backbone of effective monetary policy. These lessons laid the foundation for modern frameworks like the CBA’s *Prudent Risk Management Approach (FPAS Mark II)*.

Hello everyone, I’m **Susanna Grigoryan** from the Monetary Policy Department at the Central Bank of Armenia. Welcome to this episode of the CBA Academy series.

Today, we’ll look back at one of the most important chapters in modern monetary history — the Great Inflation of the 1970s. It’s a story about how economic thinking evolved, how mistakes were made, and how central banks learned to rebuild credibility. These lessons continue to shape our policies and our understanding of how to manage uncertainty even today.

In the 1960s, many economists believed there was a stable trade-off between inflation and unemployment, an idea captured by the Phillips Curve. Policymakers thought they could keep unemployment permanently lower by tolerating a bit more inflation. But this belief turned out to be dangerously misleading.

Economists like Milton Friedman and Edmund Phelps challenged that thinking. They introduced what became known as the natural rate hypothesis — the idea that trying to keep unemployment below its natural level would only cause inflation to accelerate. By the early 1970s, this became painfully clear. Governments and central banks continued

to stimulate demand even as inflation expectations rose. Then came the oil price shocks, which pushed inflation even higher and exposed the limits of trying to fine-tune the economy.

The result was the Great Inflation — a period of rising prices, falling real incomes, and growing doubts about the effectiveness of macroeconomic policy. It took decisive action to restore stability, most famously under Paul Volcker at the U.S. Federal Reserve. His approach was painful, involving deep recessions and difficult policy choices, but it succeeded in bringing inflation down and restoring credibility to monetary policy.

The lessons from that period remain at the heart of modern central banking. First, there is no long-run trade-off between inflation and unemployment. Once people and firms adjust their expectations, higher inflation brings no lasting benefit — only higher inflation. Second, credibility matters. Central banks must earn and maintain public trust through consistent and transparent actions. And third, humility is essential. The economy is complex and uncertain, and the 1970s taught policymakers to respect that uncertainty, to understand policy lags, and to avoid excessive confidence in any single model or forecast.

These lessons continue to guide the way we design and implement monetary policy frameworks today — including the Central Bank of Armenia’s Prudent Risk Management Approach, or FPAS Mark II. This approach treats policy as a continuous process of learning and decision-making under uncertainty. It recognizes that what matters most is not claiming precision, but managing risks prudently and communicating clearly.

I would like to thank Douglas Laxton from the Better Policy Project, and my colleagues Jared Laxton, Asya Kostanyan, and Sopio Mkervolidze from the Global Forecasting School for their guidance and feedback in preparing this episode.

The 1970s taught central banks around the world a simple but powerful lesson: credibility is earned through consistent and transparent action. Thank you for joining me, and I look forward to continuing this learning journey with you in future episodes of the CBA Academy.

See you there.

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When Money Aggregates Failed Why the Money “Abandoned” Us

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When money aggregates became unreliable, central banks realized that controlling money growth was no longer enough. Shifts in technology and financial behavior weakened the link between money and inflation. This led to a major shift — from managing the quantity of money to focusing on the price of money (interest rates) and expectations. It was the beginning of a new era — inflation targeting.

Hello, I’m **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level 1 student at the Global Forecasting School**. In this video, we’ll explore why **monetary targeting** — the idea that central banks could control inflation by trying to control the growth of money — eventually broke down. It’s a story of innovation, disillusionment, and the search for a better anchor for monetary policy.

In the late 1970s and early 1980s, central banks around the world tried to rein in inflation by targeting monetary aggregates such as M1 or M2. The logic seemed straightforward: if inflation was “too much money chasing too few goods,” then controlling the growth of money should stabilize prices.

At first, the strategy looked promising. In the United States under Paul Volcker, and in Canada under Gerald Bouey, central banks announced explicit money-growth targets as a visible commitment to discipline. Markets welcomed the move, and credibility appeared to be built through numbers.

But soon, the relationship between money and inflation began to unravel. Financial innovation transformed how people held and used money. Credit cards, money-market funds, and electronic payments changed the way liquidity moved through the economy, making the velocity of money unpredictable. The once-stable link between money and prices weakened dramatically.

In practice, the quantity of money was never something a central bank could directly control. Small changes in interest rates led to large and erratic movements in money demand. It was as if money itself had “abandoned” us — no longer behaving the way textbooks predicted.

Economists began to realize why. Money is endogenous, not exogenous. It is created inside the financial system through the credit decisions of banks. When banks extend loans, they simultaneously create deposits; when those loans are repaid, money is destroyed. That means the supply of money depends on the demand for credit and on banks’ perceptions of risk, not on the central bank’s direct control.

Once this insight became clear, it was obvious that trying to hit a precise money-growth target was like trying to control the temperature of a room by guessing how fast the fan should spin. The tool was indirect and unreliable.

This realization led to a major conceptual shift in monetary policy — from trying to control quantities to influencing prices. Instead of attempting to fix the growth of money, central banks began to set the short-term interest rate to influence the cost of borrowing and spending in the economy. By focusing on interest rates, policymakers could work through the credit channel and expectations, providing a more stable and transparent way to guide inflation toward its target.

Armenia experienced this transition as well. In its early years, the Central Bank of Armenia experimented with monetary targeting, hoping to build credibility through visible numeric targets. But the same challenges appeared here as elsewhere: financial deepening and innovation made monetary aggregates unreliable guides. The link between money and inflation weakened, and the numbers themselves became noisy and misleading signals.

Eventually, the CBA shifted toward an interest-rate-based framework, laying the groundwork for the modern inflation-targeting regime that we operate under today. This change marked a decisive moment in the CBA’s evolution — a recognition that monetary policy must work through prices and expectations, not through an assumed control of money stocks.

The key lesson is simple: to control inflation, we must influence the price of money, not its quantity. Understanding that money is created within the financial system — that it is endogenous — was a turning point in modern central banking. It represented the move from mechanical rule-following to strategic management of expectations and risks.

This transition also set the intellectual foundation for today's Prudent Risk Management Approach to Monetary Policy, known as FPAS Mark II. Developed at the Central Bank of Armenia in collaboration with the Better Policy Project, FPAS Mark II treats policymaking as a process of continuous learning under uncertainty. It explicitly weighs risks and scenarios instead of relying on a single deterministic forecast. It builds credibility not by claiming precision, but by demonstrating prudence — acknowledging uncertainty, managing expectations, and communicating clearly.

As Freedman and Laxton (2009) observed, credibility depends on consistent frameworks and adaptable strategies. Monetary targeting failed not because policymakers lost control, but because they discovered they never truly had it. The illusion of control gave way to a more accurate understanding of how credit and expectations drive inflation.

Armenia's experience mirrors this global evolution. By the mid-2000s, it was evident that monetary aggregates could no longer provide a reliable nominal anchor. The CBA responded by transitioning to an interest-rate-based operational framework that strengthened the transmission of policy through the financial system and paved the way for FPAS Mark II. Under this approach, policy decisions incorporate risk assessments, scenario analysis, and clear communication — all crucial for maintaining credibility in an uncertain world.

The failure of monetary targeting was not a policy error, but a recognition of economic reality. Central banks cannot directly control the quantity of money; they can only influence its price and the conditions under which it is created. The transition to interest-rate-based policy marked a maturing of central banking — from mechanical rule-making to thoughtful, data-driven management of expectations and risk.

For Armenia, this shift represented a vital step toward institutional credibility and modern policy practice. The lessons of the 1970s and the breakdown of monetary targeting continue to guide our work at the Central Bank of Armenia today — an approach that values analytical rigor, communication, and the prudent management of uncertainty.

This video was prepared with guidance from Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sopio Mkervolidze at the Global Forecasting School.

Thank you for watching, and I look forward to exploring more of the story of modern monetary policy with you in future episodes of the CBA Academy.

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The Birth of Inflation Targeting: A New Era in Monetary Policy

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Note

Inflation targeting marked the beginning of modern monetary policy. By the late 1980s, policymakers had learned two hard lessons: monetary aggregates were no longer reliable, and credibility—anchoring inflation expectations through strong institutions—had become essential. New Zealand pioneered the first full inflation-targeting regime, while Canada developed the analytical foundation through its Quarterly Projection Model (QPM).

Together, these innovations created the blueprint for credible, forward-looking monetary policy frameworks. Armenia's FPAS Mark II builds directly on this tradition, combining institutional credibility with analytical rigor in a least-regrets approach to decision-making under uncertainty.

Hello everyone, I'm **Susanna Grigoryan**, an **Economist at the Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this video, we'll explore how the modern era of monetary policy began — the birth of **inflation targeting**, a framework that transformed central banking worldwide and continues to shape our work today.

By the late 1980s, both advanced and small open economies had learned two hard lessons from the 1970s. First, monetary targeting was no longer a reliable guide for policy in an era of rapid financial innovation and unstable money demand.

Second, credibility — the ability to anchor inflation expectations through strong institutions — had become the most valuable asset in monetary policy.

Escaping high and volatile inflation required a new framework — one built on three pillars: a clear nominal anchor, operational independence, and transparent communication, so that the public could understand and evaluate policy trade-offs.

New Zealand led the way. Its 1989 Reserve Bank Act gave the central bank operational independence and a single objective: price stability. This objective was implemented through a Policy Targets Agreement, or PTA, which made the Governor directly accountable for achieving the target. This innovation marked the birth of modern inflation targeting — and a new mindset for making policy decisions under uncertainty.

While New Zealand was the first to adopt explicit inflation targeting, the Bank of Canada had already developed the analytical foundation that made such frameworks credible in practice. When the Reserve Bank of New Zealand sought to strengthen its process, it adopted model-based analysis and structured decision-making tools pioneered in Canada through the Quarterly Projection Model, or QPM. In essence, New Zealand created the first legal and institutional inflation-targeting regime, while Canada built the analytical process that became the global standard.

New Zealand's experience can be seen as a journey — what we call the New Zealand Arc.

- **In Stage One**, from 1989 to 1992, the focus was credible disinflation: the PTA anchored expectations and quickly brought inflation down.
- **In Stage Two**, beginning in the mid-1990s, the framework evolved into flexible inflation targeting, recognizing short-run trade-offs between inflation and output.
- **In Stage Three**, during the late 1990s, the RBNZ refined its tools and communication — publishing the forward policy-rate path and replacing the Monetary Conditions Index with the Official Cash Rate.
- **And in Stage Four**, from the 2000s onward, the RBNZ emphasized transparency and macroprudential integration, uniting price stability and financial stability within a coherent communication strategy.

Meanwhile, the Bank of Canada's framework was quietly shaping how central banks thought about policy around the world. Its Quarterly Projection Model embedded rational expectations, loss functions, and endogenous credibility — linking economic projections directly to policy-rate decisions. This made policy responses to shocks both systematic and transparent.

Two features of the Canadian approach soon became global norms: first, publishing endogenous interest-rate paths, and second, using transparency as an active tool of policy transmission. The RBNZ and many others later adopted these practices, showing how institutional credibility and analytical credibility reinforce each other.

Inflation targeting also rests on two deep intellectual roots.

The first is the Long-Run Natural Rate Hypothesis. Economists Milton Friedman and Edmund Phelps showed that only policies anchored in expectations can stabilize both inflation and output. When that principle was ignored, it led to the Great Inflation of the 1970s. Later, Freedman and Laxton (2009) explained how the Bank of Canada embedded this insight into its framework to ensure lasting credibility and macroeconomic stability.

The second root is the Time-Inconsistency Problem, identified by Kydland and Prescott (1977) and Barro and Gordon (1983). They showed that purely discretionary policy leads to an inflation bias — the temptation to boost output in the short run at the cost of higher inflation in the long run. New Zealand’s 1989 Act addressed this directly by holding the Governor accountable for inflation outcomes. Later, several Latin American economies adopted similar institutional reforms to rebuild credibility where years of instability had eroded public trust.

Together, these two intellectual foundations demonstrate that inflation targeting must combine model-based discipline with institutional integrity. New Zealand emphasized institutional credibility, while Canada developed analytical credibility.

Successful frameworks — including Armenia’s Prudent Risk Management Approach — integrate both. That brings us to Armenia. Our FPAS Mark II framework builds directly on these two traditions. Its least-regrets approach combines rules- based discipline with model-based flexibility. Anchored expectations, transparent communication, and continuous learning are central to sustaining credibility and managing uncertainty.

In many ways, FPAS Mark II reflects the lessons of this global journey — from the failures of monetary targeting to the creation of credible, forward-looking frameworks grounded in analysis and accountability.

The new era of monetary policy was not just about new tools; it was about a new mindset. Credibility, transparency, and analytical rigor became the foundation for modern central banking. And here in Armenia, those same principles continue to guide us as we

strengthen our Prudent Risk Management Approach to meet the challenges of an ever-changing world.

Thank you for watching, and I look forward to seeing you in the next episode of the CBA Academy.

See you there.

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Principles 1 & 2 A Clear Nominal Anchor and Consistency Between Objectives

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Note

Principles 1 and 2 form the foundation of modern inflation-targeting frameworks: a clear nominal anchor and strong internal consistency across all policy objectives. Together, they ensure that policy actions, communication, and institutional design all reinforce price stability. These principles became essential after the failures of monetary targeting and the lessons learned from the Great Inflation of the 1970s.

A credible nominal anchor not only stabilizes expectations — it also aligns every component of the policy framework. Armenia’s modern approach under FPAS Mark II places these two principles at the core of its decision-making process.

Hello everyone, I’m **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this video, we’ll turn to the first two principles that lie at the very heart of modern monetary policy frameworks — the principle of a **clear nominal anchor** and the principle of **consistency among objectives**.

The success of modern monetary policy rests on a small set of guiding principles that make policy credible, consistent, and transparent. Among these, the first two are foundational. Without a well-understood anchor, monetary policy loses focus and credibility. And without consistency among objectives, even a credible anchor can lose its meaning over time. As Freedman and Laxton (2009) emphasize, these principles are

not theoretical — they form the operational backbone of successful inflation-targeting frameworks around the world.

Let's begin with the first principle — a clear nominal anchor. Think of it as the compass of monetary policy — the fixed point that helps everyone navigate uncertainty. It's what gives households, firms, and investors confidence about the future value of money. In an inflation-targeting regime, that anchor is the publicly announced inflation target, supported by credible communication and consistent actions.

The anchor plays three essential roles. First, it shapes expectations by giving people a benchmark for wage and price setting. Second, it enforces discipline, limiting short-term political or opportunistic pressures. And third, it builds credibility by anchoring inflation expectations, which makes policy more effective and predictable.

According to Freedman and Laxton (2009), an effective inflation target must be numerical, symmetric, and forward-looking. In practice, this often means specifying a range — for example, one to three percent — with a midpoint focus. This approach provides flexibility without losing credibility. When expectations are well anchored, both inflation and output volatility decline, creating measurable welfare gains.

Canada's experience in the early 1990s illustrates this powerfully. Even before inflation had fully converged to the target, long-term interest rates began to fall because markets trusted that the Bank of Canada would deliver. That credibility made policy more effective. New Zealand's experience followed a similar logic — while its early framework focused on institutional design, Canada refined the analytical process that supported it.

Now, let's move to the second principle — consistency among objectives. A central bank must ensure that all its goals work together rather than against each other. When inflation control serves as the foundation, other objectives — such as growth, employment, and financial stability — can be pursued sustainably. But when short-term goals compete with price stability, credibility is undermined and everyone loses.

Freedman and Laxton (2009) showed that successful inflation-targeting regimes align all objectives under a single overarching mandate: maintaining low, stable, and predictable inflation. In well-designed frameworks, short-term trade-offs are recognized, but long-term consistency is never sacrificed. It's about being disciplined and flexible at the same time.

The Bank of Canada's framework demonstrates this principle vividly. By focusing on price stability as the path to long-run prosperity, the Bank avoided the temptation to fine-tune short-term outcomes. Similarly, the Reserve Bank of New Zealand evolved toward a

flexible inflation-targeting regime, allowing for temporary deviations from the target during shocks while maintaining its credibility and long-term anchor. This alignment of objectives has been key to maintaining stability — especially in small open economies where exchange-rate and output fluctuations can be large.

Empirical evidence supports these lessons. Countries with clear nominal anchors and consistent objectives — such as Canada, New Zealand, the United Kingdom, and later the Czech Republic — have all experienced lower macroeconomic volatility and faster recoveries from shocks. Studies by Freedman and Laxton (2009) show that the greatest gains in credibility occurred where targets were explicit, communication transparent, and objectives consistent with one another.

These results remind us that clarity and coherence are not just principles of good design — they are measurable sources of public trust and economic welfare.

Finally, let's turn to what these principles mean for Armenia's FPAS Mark II framework. In FPAS Mark II, these first two principles define the structure and purpose of the entire forecasting and decision-making process. The nominal anchor, expressed as a clear and forward-looking inflation objective, guides scenario design, forecast discussions, and communication. Consistency across objectives ensures that the Central Bank's messages to the public, government, and financial sector are coherent and aligned.

This disciplined yet flexible framework allows policymakers to make decisions that are both credible and adaptive to uncertainty. It embodies the broader philosophy of prudent risk management that defines modern inflation-targeting practice.

To sum up, these first two principles — a clear nominal anchor and consistency among objectives — are what make monetary policy credible, coherent, and resilient. They ensure that even in uncertain times, central banks stay focused on what matters most: maintaining public trust and long-term stability.

In our next video, we'll move on to Principles Three and Four, exploring how monetary policy interacts with fiscal policy and the real economy. Thank you for watching, and I look forward to seeing you in the next episode of the CBA Academy.

See you there.

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Principles 3 & 4: MP and Other Policies — The Inflation–Output Trade-Off

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Note

Principles 3 and 4 focus on how monetary policy interacts with other policies and how central banks navigate the short-run trade-off between stabilizing inflation and supporting real economic activity. While the long-run goal is clear — low and stable inflation — policymakers must also recognize that shocks, frictions, and rigidities can temporarily create tensions between inflation and output stabilization.

These principles emphasize that monetary policy cannot operate in isolation. Fiscal policy, structural reforms, and financial stability policies all shape the environment in which interest-rate decisions are made. Under Armenia’s FPAS Mark II framework, the inflation–output trade-off is handled through a *least-regrets* approach, where scenario analysis, risk management, and clear communication help align monetary policy with broader macroeconomic objectives while preserving the credibility of the inflation anchor.

Hello everyone, I’m **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this video, we’ll continue our exploration of the key principles that define credible and effective monetary policy frameworks. Today, we’ll focus on **Principles Three and Four** from *Freedman and Laxton (2009)* — principles that deal with **policy coherence** and the **Forecasting and Policy Analysis System**, or FPAS.

While the first two principles emphasized the importance of a clear nominal anchor and internal consistency, these next two principles explain how monetary policy interacts with the broader economy, and how central banks organize themselves to make coherent and credible decisions.

Monetary policy never operates in isolation. Its effectiveness depends on a coherent macroeconomic policy mix — especially the relationship between monetary, fiscal, and structural policies. Just as important, a central bank needs a strong operational framework that links analysis, judgment, and communication. When these elements work together, the central bank speaks with one voice, and its policy signals remain consistent across time and circumstances.

Let's start with Principle Three — policy coherence across government.

Freedman and Laxton emphasize that inflation targeting can only succeed when fiscal and structural policies support the same long-term objectives. If fiscal policy is sound and sustainable, it strengthens the credibility of the central bank's commitment to price stability. But when fiscal or exchange-rate policies move in the opposite direction, credibility erodes and monetary policy becomes less effective.

In practice, coherence is achieved through cooperation, not direct coordination. Monetary and fiscal authorities must share a common understanding of the economic outlook and ensure that their policies complement one another. Each policy area can remain independent, but they should work in harmony toward overall macroeconomic stability.

In exceptional situations — such as during a financial crisis or when interest rates are constrained by the effective lower bound — temporary coordination may be needed to prevent deflation and support recovery. After the global financial crisis, large economies like the United States showed how fiscal and monetary policies could work together to stabilize demand and restore confidence.

Even outside of crises, mutual awareness and communication between authorities are essential. Coherent policies reinforce each other, while conflicting signals can undermine everything.

The experiences of Canada and New Zealand illustrate this principle clearly. In Canada, following the 1991 announcement of the inflation target, credible fiscal consolidation amplified the effectiveness of monetary policy. The government's commitment to sustainable budgets gave the Bank of Canada the space to focus entirely on achieving price stability — free from concerns about fiscal dominance.

In New Zealand, coherence took a slightly different form. The Policy Targets Agreement between the government and the Reserve Bank established shared accountability for achieving the inflation target. This institutional design ensured both sides worked toward the same long-run objective, supported by open communication and transparency.

As Freedman and Laxton point out, coherence does not mean control. It's about alignment of goals, not control of instruments. Monetary policy must remain operationally independent, but independence works best when supported by responsible fiscal and structural policies that point in the same direction.

Now let's move to Principle Four — the Forecasting and Policy Analysis System, or FPAS.

This is where the principles we've discussed so far turn into practice. FPAS is the institutional mechanism that ensures policy decisions are coherent, disciplined, and credible. It brings together models, expert judgment, structured decision-making, and clear communication — creating a unified process through which a central bank forms its view of the economy and decides on policy actions.

According to Freedman and Laxton, FPAS has four essential components.

First, a quantitative model that links policy instruments — such as the policy interest rate — to inflation, output, and other key variables.

Second, a forecast process that integrates model-based projections with expert judgment and alternative scenarios.

Third, a structured decision-making cycle, which includes forecast rounds, internal policy discussions, and publication of reports.

And **fourth**, a communication strategy that ensures consistency between internal analysis and what the central bank tells the public.

Together, these components form the operational backbone of modern inflation-targeting regimes. FPAS allows central banks to manage uncertainty, update expectations in real time, and coordinate effectively across departments — ensuring that everyone works from a shared analytical framework.

The first generation of FPAS systems, developed at the Bank of Canada, showed how disciplined processes could reinforce credibility. The system linked forecasts, models, and communication into one coherent policy cycle. Later, other central banks adapted and refined the approach. New Zealand's Forecasting and Policy System (FPS) and the Czech National Bank's modeling work extended FPAS to small open economies,

demonstrating that even in uncertain environments, consistent analysis and transparent decision-making can strengthen credibility.

As Adrian, Obstfeld, and Laxton (2018) later showed, countries that adopted FPAS frameworks achieved smoother policy cycles, clearer communication, and better integration between fiscal and monetary policy.

Over time, these systems evolved into what we now call FPAS Mark II.

FPAS Mark II builds directly on these earlier systems but is designed to handle today's more complex challenges — things like nonlinear dynamics, global spillovers, and constraints from the lower bound on interest rates. The modern approach emphasizes prudent risk management within the FPAS discipline.

That means identifying risks systematically, quantifying uncertainty, and designing policies that minimize regret under a range of possible outcomes. This shift allows policymakers — especially in emerging markets — to operate with greater confidence and transparency, even when the future is uncertain.

In Armenia, this evolution is especially important. The Central Bank of Armenia's FPAS Mark II framework embodies these same principles. It combines model-based discipline with flexible, forward-looking analysis. It integrates the best international practices while adapting to the realities of a small open economy. And it ensures that every forecast, every discussion, and every policy decision contributes to a single, coherent vision for price and financial stability.

So, to summarize: Principles Three and Four remind us that monetary policy is most effective when it is coherent with broader government policies and when it operates through a disciplined analytical framework like FPAS. Coherence ensures alignment and credibility. FPAS provides the structure and process that transform analysis into action.

Together, they make monetary policy not only credible — but truly effective.

In our next video, we'll turn to Principles Five and Six, where we'll explore flexibility and transparency — the final ingredients of a modern, resilient monetary policy framework.

Thank you for watching, and I look forward to seeing you in the next episode of the CBA Academy.

See you there.

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Monetary Policy Transmission Mechanisms

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Note

This lesson explains how changes in the policy interest rate are transmitted to the real economy and inflation through different channels — including interest rates, the exchange rate, credit conditions, asset prices, and expectations.

Understanding these transmission mechanisms is essential for interpreting model-based projections, scenario analysis, and the impact of policy decisions on households and firms. Under Armenia's FPAS Mark II framework, these channels are embedded in the forecasting and policy analysis system, ensuring that each policy decision is assessed in a coherent, forward-looking way.

Hello everyone, I'm **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this extended video, we'll explore how monetary policy actually works — and why its effects often take longer to appear than people expect. This discussion brings together two important themes: the **monetary transmission mechanism**, and the idea of **long and variable lags** in policy effects.

Let's begin with the monetary transmission mechanism — the process through which central-bank decisions affect inflation and output. When the central bank changes its policy rate, that action ripples through financial markets, influencing borrowing costs, exchange rates, and expectations. In other words, monetary policy works through several channels that together shape spending, investment, and inflation expectations across the economy.

There are four main channels of transmission.

The first is the interest-rate channel. When the central bank raises or lowers its policy rate, it immediately changes short-term interest rates. Those shifts influence expectations about future rates, which affect long-term bond yields — for example, the ten-year government bond — and eventually the mortgage and business-loan rates that households and firms face. If we plot the ten-year bond yield and the thirty-year mortgage rate on a chart, they tend to move closely together. That relationship shows how expectations about the policy path and risk compensation determine borrowing costs throughout the economy.

The second is the exchange-rate channel. Expected interest-rate differentials across countries drive exchange-rate movements. Higher expected rates usually appreciate the domestic currency, making imports cheaper but exports less competitive. For small open economies, this is often one of the most powerful transmission routes.

The third is the credit channel. Banks' lending behavior determines how quickly policy changes reach borrowers. If the financial system is concentrated or risk-averse, or if banks hold excess liquidity, then the transmission of policy to credit conditions can be slow and uneven.

And finally, the expectations channel — arguably the most important. When the central bank communicates clearly and consistently, it anchors inflation expectations. That credibility influences real interest rates and public confidence, ensuring that monetary policy works through both psychology and financial conditions.

In open economies like Armenia's, these channels interact with global capital flows and exchange-rate dynamics. Expectations of appreciation or depreciation combine with risk-adjusted interest-rate differentials, amplifying policy effects. Here, global financial conditions, fiscal credibility, and clear communication all shape how effectively monetary policy transmits through the economy.

Another important concept in transmission is the term and risk premium. Long-term interest rates don't move one-for-one with expected short-term rates because investors demand compensation for uncertainty. That's the term premium — a reward for bearing interest-rate risk. In open economies, there can also be a country-risk or exchange-rate premium, reflecting investors' assessment of fiscal credibility or external vulnerability. Together, these premia explain why the ten-year government bond yield typically exceeds the policy rate by a margin that changes over time.

Now, let's turn to the second theme: why the effects of monetary policy unfold with long and variable lags. This idea goes back to Milton Friedman's 1968 Presidential Address, where he warned that monetary policy does not affect the economy instantly or in the same way every time. The transmission process is complex, influenced by wealth, expectations, and financial structure.

A good recent example comes from the United States. After the pandemic, the Federal Reserve began raising interest rates in 2022 — roughly a year later than ideal — and did so very aggressively, increasing the policy rate by more than 500 basis points. Historically, such a tightening would have signaled an impending recession, especially with the yield curve inverted. Yet, a recession never arrived.

Why?

Because other forces were at work. High equity prices, strong household balance sheets, and pandemic-era savings supported consumption and delayed the impact of higher rates. During COVID, real long-term interest rates had been deeply negative, which boosted asset prices and wealth. As Michael Kiley's research shows, these wealth and liquidity conditions can lengthen the lags in transmission. The mechanism wasn't broken — it was simply slower, as other channels temporarily dominated.

Armenia's experience offers the opposite perspective. When the Central Bank eased policy, lending rates didn't fall quickly. Banks remained cautious, and the credit channel was slower to respond because of market structure and risk perception. This asymmetry is common — tightening tends to bite faster than easing — but the key point is that the transmission mechanism still works.

It's never truly broken. When one channel weakens, others can strengthen. Declaring the system broken risks undermining confidence in the nominal anchor. Instead, policymakers must identify which channels are currently active, monitor them continuously, and adjust policy instruments accordingly. That is precisely what the FPAS Mark II framework does — it provides a disciplined process for continuous monitoring, adaptation, and communication, ensuring that policy remains effective even when transmission lags change.

From this analysis, several lessons emerge for policymakers: First, expect lags to vary depending on wealth conditions, fiscal stance, and the global environment. Second, recognize asymmetry — policy tightening usually has faster effects than easing. Third, use all available channels and instruments to maintain credibility and manage expectations.

The essential message is that monetary transmission always works, but never on a fixed schedule. Patience and persistence are vital. Understanding these long and variable lags helps central banks stay disciplined, data-driven, and credible.

So, whenever someone asks whether monetary policy still works, the answer is simple: it does — it just takes time.

Thank you for watching, and I look forward to seeing you in the next episode of the CBA Academy.

See you there.

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Principles 5 & 6: Independence, Transparency, and Accountability

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Note

Principles 5 and 6 highlight the institutional pillars that make modern monetary policy frameworks credible and resilient: independence, transparency, and accountability. Independence protects the central bank from short-term political pressures, allowing it to focus on price stability and financial stability over the medium term.

But independence cannot stand alone. It must be paired with clear communication and strong accountability mechanisms so that the public, parliament, and financial markets can understand how and why policy decisions are made. Under Armenia's FPAS Mark II framework, these principles are embedded in the decision-making process, reporting structure, and communication strategy — ensuring that greater flexibility in policy is matched by stronger obligations to explain and justify actions.

Hello everyone, I'm **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this video, we'll look at why independence, transparency, and accountability are the cornerstones of credible monetary policy.

Credible monetary policy depends not only on independence but on the discipline of an analytical framework that links forecasts, instruments, and objectives. A genuine forward-looking system has three essential ingredients. First, where is the economy today? It requires a coherent and internally consistent assessment of the current

macroeconomic position—output gap, inflation pressures, and financial conditions. Second, what are the underlying forces driving it? That means a structured analysis of demand, supply, and external shocks, showing how transmission channels operate. And third, what must be done with policy instruments to achieve the objectives? It demands a systematic process that determines how interest rates and other instruments must adjust to keep inflation and output near target.

Any framework missing one of these three elements is incomplete. The Bank of England, as shown in **Bernanke (2024)**, never succeeded in developing this third component; hence, it never possessed a coherent forward-looking analytical framework.

Bernanke’s independent review in 2024 found that the Bank’s system relied heavily on judgment and an outdated model suite centered on COMPASS. Forecasts were conditioned on an exogenous or constant path for the policy rate—a practice that effectively pegged the nominal interest rate in the projections. This violated the most basic principle of modern policy analysis: the policy rate must be endogenous, adjusting in response to the forecast itself.

As **Milton Friedman (1968)** warned in his Presidential Address, pegging the nominal rate is inherently destabilizing. If inflation turns out higher than assumed, the real rate falls, stimulating demand and further raising inflation. In this way, an exogenous interest-rate path magnifies, rather than dampens, instability.

In a proper analytical framework, the forecast model determines the interest-rate path needed to achieve the inflation target, consistent with the central bank’s reaction function. This link between objectives and instruments is what allows the policy process to be internally coherent and forward-looking. Its absence at the Bank of England—and similarly at other large, bureaucratic central banks—meant that forecasts could not reliably guide policy or communicate a credible story to the public.

By contrast, central banks such as the **Reserve Bank of New Zealand**, the **National Bank of Georgia**, and the **Central Bank of Armenia** built what we describe as Mark I Forecasting and Policy Analysis Systems, or FPAS. These frameworks explicitly integrate a structural model linking the economy’s key relationships, a forecast process that endogenizes the policy instrument, scenario analysis for prudent risk management, and a communication system that explains policy choices transparently. In these institutions, the forecast and the policy decision are two sides of the same coin. The analytical framework ensures that every published scenario is consistent with the central bank’s objectives and its best understanding of transmission mechanisms.

The **Prudent Risk Management Approach to Price Stability (2023)** defines the state-of-the-art analytical framework. It integrates the forecasting, policy, and communication functions into a unified decision system. Policy is derived from an explicit loss function that balances inflation and output stabilization under uncertainty, using scenario analysis to quantify risks. This approach eliminates the artificial separation between analysis and decision, ensuring that the central bank's instruments, objectives, and communications are fully aligned. Compared with this benchmark, the Bank of England's structure revealed by **Bernanke (2024)** was not merely out-of-date—it was conceptually incomplete. It failed to answer the third essential question: what must be done with our instruments to achieve our objectives?

Independence protects the central bank from political pressure, but independence without an analytical framework breeds confusion and weak accountability. Transparency and accountability arise when decisions can be traced through a disciplined process linking evidence, analysis, and action. The experiences of the **RBNZ**, **NBG**, and **CBA** show that smaller, more agile institutions can achieve world-class standards when they combine operational independence with analytical coherence and clear communication.

Independence gives us the power to act. Transparency and accountability give us the legitimacy to lead. Together, they form the foundation of institutional integrity and public trust.

Thank you for watching, and I would like to acknowledge **Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sophio Mkervolidze** at the **Global Forecasting School** for their guidance and support in producing this video.

See you there.

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When the World Changed: The Limits of FPAS Mark I

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Note

FPAS Mark I was designed for a world that looked relatively stable — with modest shocks, well-behaved financial markets, and a clear link between the policy rate, the real economy, and inflation. But over time, the global environment changed. Large commodity-price swings, financial crises, and persistent uncertainty revealed the limits of frameworks based on small, temporary shocks around a single baseline.

This lesson explains why FPAS Mark I became less reliable as a guide for policy — and how those limitations motivated the transition to FPAS Mark II and the *Prudent Risk Management Approach*. The key insight is that modern central banks must think in terms of scenarios, risks, and least-regrets choices, not just baseline forecasts.

Hello everyone, I'm **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this video, we'll explore how the world changed—and why traditional forecasting systems could no longer keep up.

The evolution of modern monetary policy frameworks has always reflected the world around them. During the 1990s and early 2000s, the first generation of Forecasting and Policy Analysis Systems—FPAS Mark I—served central banks remarkably well. They provided structure, discipline, and coherence in policy formulation and communication. But by the early 2020s, the global environment had changed beyond recognition. Pandemic disruptions, geopolitical conflicts, and deglobalization revealed deep

vulnerabilities in these deterministic systems. The experience underscored a profound truth: the world had become too uncertain for single-baseline policymaking.

FPAS Mark I frameworks, inspired by the work of Freedman and Laxton (2009), were built on a clear and simple logic. They combined macroeconomic models, expert judgment, and structured policy processes to ensure internal consistency between forecasts and decisions. The approach worked effectively in relatively stable times. Baseline forecasts provided a coherent narrative about where the economy was heading, and policy recommendations could be evaluated against this most-likely outlook. For two decades, this approach supported credible inflation-targeting regimes across advanced and emerging-market economies.

The world that FPAS Mark I was designed for assumed a stable structure and modest, mean-reverting shocks. But beginning in the late 2010s, three forms of uncertainty began to dominate policymaking: structural uncertainty, meaning permanent changes to the global economy caused by pandemics, geopolitical realignments, and deglobalization; model uncertainty, meaning the erosion of stable relationships such as the Phillips Curve, with nonlinearities, supply constraints, and credibility effects; and policy-credibility uncertainty, meaning the risk that inflation expectations could de-anchor when shocks persist and communication loses clarity. These layers of uncertainty made it impossible to rely on a single, deterministic baseline as the guide for decisions. The very foundation of FPAS Mark I—the idea that the central bank could identify and optimize around one “most-likely” scenario—became untenable.

In the classical FPAS structure, the baseline scenario represented the best estimate of the future, and policy recommendations were derived from this single narrative. But the experience of 2020 to 2023 demonstrated how fragile such determinism can be. When multiple shocks interact—pandemics, supply bottlenecks, energy crises—there is no single trajectory the economy will follow. Instead, central banks face a range of possible outcomes, many of them shaped by behavioral feedbacks, credibility shifts, and nonlinear responses. A deterministic baseline not only misrepresents reality; it also biases communication. By projecting a false sense of precision, it discourages policymakers from discussing risks openly. As shown in *The Prudent Risk Management Approach to Monetary Policy* (Central Bank of Armenia, 2025), effective communication under uncertainty requires transparency about risks, not just point forecasts.

The pandemic and subsequent global supply shocks exposed the operational limits of FPAS Mark I. Across both advanced and emerging economies, baseline-driven forecasts failed to anticipate the persistence of inflationary pressures. In some cases, this was due to structural changes in labor markets and global trade; in others, it reflected insufficient

integration between judgment and model-based analysis. Central banks that clung to deterministic baselines were repeatedly forced to revise forecasts upward and backtrack on forward guidance. Confidence in the forecasting process—and by extension, in monetary policy itself—suffered. The experience reaffirmed that policy under uncertainty cannot be based on a single optimal path. Instead, it must recognize and manage the spectrum of possible risks that define the new environment.

The recognition that uncertainty is not a temporary disturbance but a structural condition led to a profound rethinking of the FPAS architecture. The **Central Bank of Armenia**, drawing on lessons from global experience, developed the **Prudent Risk Management Approach to Price Stability—FPAS Mark II**. This new system embeds risk analysis within every stage of the policy process, from forecasting to communication. Its guiding principle is prudence: minimizing potential regret rather than optimizing a single scenario. By embracing uncertainty, FPAS Mark II transforms it from a source of vulnerability into a foundation for robust policymaking.

For many years, FPAS Mark I served central banks well. It offered structure and discipline, helping us explain our policy decisions through a single baseline forecast. But the world we live in today is not the same as it was twenty years ago. The pandemic, global supply shocks, and geopolitical tensions showed us that uncertainty is no longer the exception—it's the rule.

FPAS Mark I was built on the idea that we could predict the most likely path for the economy and optimize policy around it. That worked when the world was stable. But once multiple shocks hit simultaneously, the idea of a single baseline became unrealistic. We needed a system that could handle uncertainty, not ignore it. That's why the Central Bank of Armenia developed the **Prudent Risk Management Approach to Price Stability**, or FPAS Mark II. It's a framework designed for a world of uncertainty, where policy is not about optimizing a single forecast but about managing risks and minimizing regret. By embracing this mindset, we can make policy decisions that remain credible, flexible, and forward-looking—no matter how unpredictable the world becomes.

Thank you for watching, and I would like to acknowledge **Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sophio Mkervolidze** at the **Global Forecasting School** for their guidance and support in producing this video.

See you there.

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FPAS Mark II: The Least-Regrets Mindset

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Note

FPAS Mark II represents a major evolution in Armenia’s monetary policy framework. Building on global lessons from the failures of monetary targeting and the limitations of early inflation-targeting systems, FPAS Mark II introduces a least-regrets decision-making approach.

Rather than relying on a single forecast, FPAS Mark II evaluates policies across multiple scenarios—including adverse ones—to choose actions that minimize the risk of policy mistakes. This mindset strengthens credibility, supports forward-looking policymaking, and anchors expectations more effectively.

The approach integrates clear communication, structured scenario analysis, and rigorous model-based evaluation. It is at the core of Armenia’s modern Prudent Risk Management framework.

Hello everyone, I’m Susanna Grigoryan, an economist at the Central Bank of Armenia and a Level One student at the Global Forecasting School. In this video, we’ll explore FPAS Mark II — the least-regrets mindset — and how it represents a decisive intellectual leap in modern monetary policy.

The evolution from FPAS Mark I to FPAS Mark II represents a decisive intellectual leap in modern monetary policy. The term “least regrets” was first popularized by the Reserve Bank of New Zealand after the global financial crisis, but it remained a rhetorical concept rather than an operational framework. In contrast, the Central Bank of Armenia

transformed the idea into a full analytical system. Christopher Waller, while at the Bank of Korea, recognized this achievement when he remarked that once he understood what had been built in Armenia, he realized that Armenia had “become the new New Zealand.” This statement captured a generational shift — from New Zealand as the pioneer of the first FPAS in 1990 to Armenia as the pioneer of the second generation, FPAS Mark II.

The Reserve Bank of New Zealand launched the first inflation-targeting regime in 1990 and, by 1998, published a comprehensive manual outlining the Forecasting and Policy Analysis System, or FPAS. This framework set the international standard for disciplined, forward-looking monetary policy. Many central banks, including Canada, Chile, the Czech Republic, and Israel, adopted the FPAS principles, integrating them into their inflation-targeting systems. But as time passed, several large, advanced-economy institutions — notably the Federal Reserve, the Bank of England, the European Central Bank, the Bank of Japan, and the Bank of Korea — failed to develop comparable systems. They remained reliant on fragmented forecasting methods and judgmental processes without a coherent analytical framework linking models, scenarios, and policy decisions.

After the global financial crisis, the Reserve Bank of New Zealand began using the term “least regrets” to describe its cautious approach to balancing risks between over-tightening and under-tightening policy. However, this remained a communications device, not a transformation of the policy framework itself. No changes were made to the structure of its FPAS or to the way risks were formally integrated into the decision process.

The Central Bank of Armenia’s innovation was to take the “least regrets” concept and operationalize it through **FPAS Mark II**. Mark II is designed for a world characterized by deep uncertainty — where the nature, persistence, and interaction of shocks are impossible to model precisely. Instead of optimizing policy around a single baseline scenario, Mark II embeds risk analysis into every stage of the policy process. This means that uncertainty is not treated as noise but as the core feature of the environment in which policy must operate.

The analytical foundation of Mark II combines three key elements. First, a structural model capable of handling nonlinearities and endogenous credibility. Second, a decision framework based on scenario evaluation and least-regrets analysis. Third, a communication strategy that emphasizes transparency about uncertainty rather than false precision. This integration transforms monetary policy from a static optimization problem into a dynamic process of risk management and learning.

The difference between Armenia and other central banks is not one of resources but of institutional mindset. Large, established institutions such as the Fed, the ECB, and the Bank of England continue to operate without fully integrating analysis, decision-making, and communication. They have yet to build even the first generation of FPAS that New Zealand pioneered in the 1990s. In contrast, Armenia developed the second generation directly — FPAS Mark II — by combining the discipline of structured forecasting with the flexibility of prudent risk management. This was a leap forward in institutional design, not an incremental upgrade.

Waller’s observation that “Armenia has become the new New Zealand” is significant because it reflects the recognition that innovation in monetary policy now comes from smaller, more agile institutions. Just as New Zealand redefined central banking three decades ago by introducing inflation targeting, Armenia is now redefining it again by introducing a full risk-management-based policy framework.

In FPAS Mark II, every policy round begins with a structured scenario matrix. Staff and Board members jointly evaluate alternative states of the world — including adverse, and optimistic scenarios — and assess how the economy and inflation would respond under each. For each scenario, the analysis identifies the costs of acting too soon versus too late. The goal is to select the policy path that minimizes potential regret across these possible futures.

The least-regrets mindset recognizes that policy mistakes are asymmetric. For example, tightening too early could unnecessarily suppress demand and employment, while tightening too late could allow inflation expectations to de-anchor. The art of policymaking under FPAS Mark II is to find the policy stance that performs acceptably across all plausible outcomes, not to optimize one point forecast. This approach provides stability and resilience, even when the economy is hit by multiple interacting shocks.

The least-regrets framework also transforms communication. Instead of presenting a single baseline projection, the central bank explains how it manages uncertainty and evaluates trade-offs. This makes transparency meaningful: the public sees not only what the central bank expects, but how it would respond if the world evolves differently. In a world where credibility depends on humility and adaptability, this approach represents a major advance in communication strategy.

FPAS Mark II thus completes the intellectual journey that began in New Zealand in 1990. It integrates the lessons of three decades of inflation targeting and provides the blueprint

for the next generation of credible monetary policy frameworks. For the first time, the least-regrets idea has moved from language to institutional reality.

When the Reserve Bank of New Zealand pioneered inflation targeting in 1990, it changed the way the world thought about monetary policy. By 1998, it had published a full manual describing how a Forecasting and Policy Analysis System — or FPAS — should work. That became the blueprint for what we now call FPAS Mark I. For many years, this system worked well in both advanced and emerging economies. But over time, most of the large central banks — the Fed, the Bank of England, the ECB, the Bank of Japan, and the Bank of Korea — never developed their own versions of this framework. They relied on judgment and fragmented models rather than a coherent system for linking analysis, decisions, and communication.

After the global financial crisis, New Zealand began using the phrase “least regrets” to describe a cautious approach to policy. It was a good phrase, but nothing changed in the underlying framework. There was still only one baseline forecast, and uncertainty was treated as something outside the model.

Here in Armenia, we took that same idea and made it real. FPAS Mark II is the first complete system that turns least-regrets thinking into a disciplined analytical framework. It accepts that uncertainty is not temporary — it’s the permanent condition of policymaking. Instead of trying to predict a single future, we prepare for several plausible ones. We evaluate the costs of acting too soon or too late and then choose the policy that we would least regret if the world turns out differently than we expect.

This least-regrets mindset changes everything. It means we build our forecasts, our policy discussions, and our communication around uncertainty — not around false precision. When Christopher Waller, now at the Federal Reserve, visited the Bank of Korea, he said something remarkable: once he understood what we had done in Armenia, he realized that Armenia had become the new New Zealand. That statement captured the moment. New Zealand invented the first generation of inflation targeting in 1990, and Armenia has now built the second generation — FPAS Mark II.

Every policy round at the CBA begins with a set of scenarios, some adverse, some optimistic. We compare how inflation, output, and credibility would evolve under each scenario and ask one central question: which policy choice would we least regret? That’s how the Board makes decisions — through structured prudence, not mechanical optimization.

The result is a system that combines independence, transparency, and analytical rigor in

a single process. We communicate uncertainty honestly, explain how we weigh risks, and maintain credibility even when the future is unknowable. This is what makes FPAS Mark II a global benchmark. It's not about predicting the future perfectly, but about managing risk responsibly.

So when people say Armenia has become the new New Zealand, it's not just a compliment — it's a recognition that the frontier of central banking has moved. Independence gives us the authority to act. Prudence and transparency give us the legitimacy to lead.

Thank you for watching, and I would like to acknowledge Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sophio Mkervolidze at the Global Forecasting School for their guidance and support in producing this video.

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Scenario-Based Forward Guidance

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Note

Scenario-based forward guidance is a core feature of FPAS Mark II. Rather than offering a single point forecast, policymakers evaluate a range of plausible scenarios — identifying risks, uncertainties, and policy trade-offs under each. This approach strengthens credibility, improves communication, and helps anchor expectations even in uncertain environments.

The strategy reflects lessons learned from global central banks, including the importance of transparency, flexibility, and rigorous model-based analysis. By presenting conditional policy paths, scenario-based guidance supports better decision-making and enhances the public's understanding of how the central bank will respond to evolving economic conditions.

Hello everyone, I'm **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this video, we'll go inside FPAS Mark II to understand how the anatomy of a policy round works and how it has made the Central Bank of Armenia a global benchmark in operationalizing the principles of FPAS Mark II.

Unlike many institutions that treat forecasting, policy formulation, and communication as separate activities, the Central Bank of Armenia integrates them into a unified and disciplined process known as the policy round. This cyclical process ensures that each stage—from data assessment to communication—feeds back into the next, creating a continuous loop of analysis, decision, and learning. The policy round is not simply a

meeting schedule; it is the institutional architecture through which prudence, transparency, and accountability are embedded into every monetary policy decision.

At its core, a policy round under FPAS Mark II is a structured decision-making cycle linking four essential stages: assessment, scenario development, policy simulation, and communication. Each stage involves collaboration across departments—Research, Statistics, Financial Stability, and Communication—and each contributes uniquely to the final decision. This process ensures that the central bank acts with coherence, internal accountability, and clear alignment between its analytical framework and policy objectives. The CBA’s innovation lies in treating the policy round as a continuous loop rather than a linear sequence. After each decision, the process transitions immediately into evaluation and feedback, preparing the institution for the next round. This dynamic structure transforms the central bank from a forecasting institution into a learning organization—one that refines its models, judgment, and communication strategy with every iteration.

The first stage of a policy round focuses on diagnosing the current economic environment. The CBA’s Research Department maintains a comprehensive set of high-frequency indicators that cover inflation, labor markets, credit, and external conditions. These are complemented by survey-based measures of expectations and risk assessments drawn from financial market data. Advanced nowcasting tools and mixed-frequency models help generate real-time estimates of key variables such as output and core inflation. The goal of the assessment phase is not just to describe recent data, but to understand the forces driving it. Staff presentations emphasize identifying temporary versus persistent shocks, quantifying their sources, and interpreting how these shocks interact with domestic and external demand. This diagnostic exercise answers the first essential question in any analytical framework: where is the economy today?

Once the current position of the economy is established, attention shifts to the future. In this stage, staff build a set of internally consistent macroeconomic scenarios that capture a range of plausible paths for inflation and output. Typically, three scenarios are prepared—a central or baseline projection, an adverse scenario that incorporates downside risks, and an optimistic scenario that captures potential upside surprises. Each scenario is constructed using the CBA’s structural forecasting model, complemented by expert judgment and sectoral analysis. Scenario narratives describe the shocks driving each path—such as changes in commodity prices, external demand, or financial conditions—and quantify their effects. The key innovation of Mark II is that these scenarios are not treated as alternatives to be chosen among but as tools to

evaluate risk distributions. The Board’s discussion focuses on the shape of these distributions, asking where the balance of risks lies and how it might evolve.

The third stage of the policy round is where analysis becomes decision. Here, the CBA’s staff simulate the policy paths required to stabilize inflation and output in each scenario. The emphasis is on robustness rather than optimization. Each potential policy action—whether a rate hike, cut, or hold—is evaluated in terms of the regrets it might generate under different scenarios. This process quantifies the trade-offs between acting too aggressively and acting too cautiously. A key tool used in this stage is the decision table. This table summarizes, for each policy choice, the projected outcomes for inflation, output, and credibility across all scenarios. By comparing these results side by side, policymakers can visualize the risks associated with each action. The Board then discusses which policy path would minimize the risk of large future regrets—those situations where, in hindsight, inaction or excessive action would have caused unnecessary instability. This stage exemplifies the least-regrets mindset that defines FPAS Mark II. It accepts that uncertainty cannot be eliminated and instead focuses on managing it transparently. By embedding structured risk evaluation into the core of the decision process, the CBA ensures that prudence is not just a principle but a measurable practice.

The final stage of the policy round translates complex internal deliberations into clear public communication. The Monetary Policy Report serves as the main vehicle for this transparency. Its narrative explains the economic context, the reasoning behind the decision, and the risks considered. Unlike traditional reports that focus on a single forecast, the CBA’s Monetary Policy Report highlights scenario analysis and conveys how the Board weighed competing risks. This approach fosters accountability by allowing external observers—markets, academics, and the public—to evaluate the coherence between the central bank’s stated framework and its actions. The clarity of this communication also enhances the effectiveness of policy transmission, as market participants adjust expectations in response to the central bank’s explanation of how uncertainty is managed.

What distinguishes FPAS Mark II from previous generations is the feedback loop embedded into the policy process. After each round, staff conduct a detailed evaluation comparing realized outcomes with previous projections. Forecast errors are analyzed not as failures but as sources of information about evolving relationships in the economy. This discipline strengthens institutional memory and ensures that each new policy round begins with improved knowledge and refined judgment. This iterative process creates a living analytical framework—one that continuously adapts to structural changes,

measurement challenges, and new forms of risk. It is through this mechanism that the Central Bank of Armenia has become recognized globally for advancing the frontier of monetary policy analysis.

The policy round is the operational heartbeat of FPAS Mark II. It institutionalizes prudence through structure, integrates transparency into every step of the process, and transforms uncertainty from a vulnerability into a manageable feature of policy. The CBA's approach demonstrates that credibility does not come from claiming certainty but from building systems that handle uncertainty systematically. In this way, Armenia has set a new global standard for how small, agile institutions can lead the next generation of inflation-targeting frameworks.

In FPAS Mark II, a policy round is the heartbeat of our central bank. It's a structured process that links data, analysis, decisions, and communication in a continuous loop. In this system, the goal isn't to eliminate uncertainty—it's to manage it systematically. The first stage is assessment. Teams across the bank monitor a wide range of indicators— inflation, labor markets, credit, global conditions, and expectations. We use mixed-frequency models and high-frequency data to understand where the economy stands right now. But we don't stop at describing the data—we dig deeper to identify what's driving it. Are the shocks temporary or structural? Domestic or global? That diagnosis shapes everything that follows.

The second stage is scenario development. Here, we construct a set of futures—market, Case A and Case B. Each scenario tells a different story about how the economy might evolve. We quantify these narratives using our structural model and combine them with expert judgment. This helps us map the full range of risks and ensures that our discussions aren't limited to a single view of the future.

The third stage is policy simulation. This is where the least-regrets mindset comes to life. We simulate different policy paths and examine how each would perform under our scenarios. Decision tables summarize the outcomes—what happens to inflation, output, and credibility under each possible decision. The Board's job is to ask: which option would we least regret if the world turns out differently than expected? That question anchors the entire discussion.

The fourth stage is communication. Once the decision is made, we explain it transparently in the Monetary Policy Report. Instead of focusing on a single forecast, we show how we weighed the risks and reached our decision. This kind of transparency builds trust—it tells the public not that we know the future, but that we're ready for whatever future unfolds.

And then the process begins again. After each round, we analyze what worked, what didn't, and how we can improve. We compare forecasts to outcomes, learn from our mistakes, and update our framework. That's what makes FPAS Mark II a living system—it learns, adapts, and grows with every decision.

This disciplined process has made Armenia a model for how small, agile central banks can lead global innovation in monetary policy. Independence gives us the authority to act. The policy round gives us the structure to act wisely. Together, they define what credibility looks like in the modern era of central banking.

Thank you for watching, and I would like to acknowledge **Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sophio Mkervolidze** at the **Global Forecasting School** for their guidance and support in producing this video.

See you there.

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Building Scenarios: The 3R Principle

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Note

The 3R Principle—Realistic, Relevant, and Robust—is at the heart of modern scenario building in forward-looking monetary policy frameworks. Under FPAS Mark II, scenarios help policymakers evaluate uncertainty, stress-test decisions, and apply the least-regrets mindset.

Scenario-based analysis allows central banks to explore alternative future paths, assess risks, and prepare policy responses before shocks materialize. This approach strengthens both analytical rigor and institutional credibility.

Hello everyone, I'm **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this video, we'll explore how FPAS Mark II makes credibility and communication two sides of the same coin.

Credibility and communication are at the core of FPAS Mark II. In the modern monetary policy environment, credibility is not achieved through the illusion of precision, but through disciplined transparency and consistent communication. The Central Bank of Armenia has designed its entire decision-making process to ensure that communication is not an afterthought but a built-in element of the analytical and policy framework. In FPAS Mark II, the way the CBA communicates is an extension of how it thinks.

In FPAS Mark II, credibility is no longer measured by how accurately the central bank predicts short-term inflation outcomes. Instead, it is defined by how transparently it explains uncertainty, how consistently it applies its framework, and how responsibly it

manages risks. Communication has evolved from a supporting function to a central part of the monetary policy process. This change reflects a deeper understanding: in a world defined by uncertainty, trust must be earned through clarity, not certainty.

Credibility in FPAS Mark II is dynamic — it is created, tested, and reinforced with every policy round. The CBA builds credibility through three mutually reinforcing pillars: consistency, which means maintaining coherence between the analytical framework, policy actions, and communication; transparency, which means clearly explaining uncertainty, trade-offs, and the rationale for decisions; and accountability, which means regularly evaluating past projections and decisions and reporting the results to the public. These pillars form what can be called the credibility cycle. Each policy round begins with internal consistency, proceeds through transparent communication, and ends with a public review of outcomes. The cycle then restarts, strengthened by learning and feedback. This continuous process transforms credibility from a static reputation into an evolving institutional asset.

The CBA's communication system under FPAS Mark II is designed to align perfectly with the analytical and decision-making framework. The Monetary Policy Report is the main public document through which this alignment is demonstrated. It no longer serves as a mere forecast summary; it is a narrative explaining how the Board assessed risks, evaluated scenarios, and reached its decision. Each Monetary Policy Report includes the baseline, adverse, and optimistic scenarios, accompanied by a detailed discussion of the asymmetric risks surrounding each. It explicitly states how the least-regrets principle guided the final decision and how the Board weighed the costs of alternative actions. This structure gives the public insight into the reasoning process, not just the results. Press conferences and interviews then reinforce this approach by emphasizing prudence, learning, and humility over certainty.

Credibility under FPAS Mark II is endogenous — it grows out of the central bank's behavior. When the public understands the logic behind policy decisions, expectations adjust more smoothly and with less volatility. Clear communication reduces uncertainty about the central bank's reaction function, making monetary transmission more efficient. Over time, this stability in expectations strengthens the central bank's ability to influence real and nominal variables. In contrast, when communication is inconsistent or opaque, credibility erodes. Markets and the public begin to question whether policy decisions are anchored in analysis or in discretion. By embedding structured communication within the FPAS Mark II process, the CBA has made credibility self-reinforcing — strong communication builds trust, which in turn enhances policy effectiveness.

Communication within FPAS Mark II begins inside the institution. After each policy round, the CBA conducts a credibility review, a structured meeting that assesses how forecasts performed, how markets and the public interpreted decisions, and how effectively communication conveyed the central message. This internal review process helps the institution learn continuously, identifying gaps between intention and perception. Findings from these reviews directly inform the structure of the next Monetary Policy Report and subsequent communication efforts. This disciplined approach ensures that the CBA's external communication is always grounded in self-assessment and internal coherence. It eliminates the gap between what is said publicly and what is believed internally — a gap that often undermines credibility in other institutions.

Many larger central banks still treat communication as a post-decision task. Statements are often crafted after the policy decision is made, rather than being part of the process itself. The Federal Reserve, the Bank of England, and the European Central Bank, for example, have faced criticism for inconsistent messaging and unclear guidance, particularly during periods of high uncertainty. The CBA's approach under FPAS Mark II stands in contrast — it integrates communication from the beginning of the policy round and aligns it with every analytical step. This proactive approach reflects a culture of transparency and institutional humility. It recognizes that credibility is not built by claiming omniscience but by demonstrating the capacity to manage uncertainty with discipline and openness.

The essence of communication under FPAS Mark II is to make uncertainty credible. By explaining how it manages risks and trade-offs, rather than pretending to eliminate them, the CBA strengthens both transparency and accountability. Credibility in this framework is not a static trait but a continuously earned outcome of prudent and consistent communication. Through this system, the CBA demonstrates how small, agile central banks can lead the global conversation on what credible monetary policy means in an age of uncertainty.

In the past, credibility was often defined by how accurately a central bank could predict inflation. Today, in a world of deep uncertainty, credibility is about something much more important — being transparent about how decisions are made. It's not about showing that we know the future, but that we are managing uncertainty in a disciplined and responsible way. At the CBA, communication is part of the analytical process itself. Every policy round ends with a clear explanation of what we've learned, what we expect, and how we've weighed the risks. This isn't just about publishing a forecast. It's about showing the public how we make decisions and why they can trust the process.

Each Monetary Policy Report includes three scenarios — a baseline, an upside, and a downside. For each one, we explain what could happen to inflation and output, and how the Board evaluated those possibilities. This gives readers a clear view of how uncertainty shapes our choices. It turns complexity into clarity. We call this transparency through structure. When people understand the structure, they understand the decision — even if the outcome changes later. That’s what builds lasting credibility. It’s about being consistent, transparent, and accountable.

Inside the Bank, we also hold what we call a credibility review after each policy round. We look at how our forecasts performed, how the markets reacted, and whether our messages were clear. That feedback becomes part of the next round. It’s how we keep improving. Other central banks are starting to move in this direction, but Armenia is already there. FPAS Mark II makes communication a living part of the policy process. It’s proactive, structured, and honest about uncertainty. That’s why it works — because people can see the reasoning behind every decision.

In FPAS Mark II, credibility and communication are inseparable. Transparency builds understanding, understanding builds trust, and trust is what anchors expectations — the ultimate goal of monetary policy. Independence gives us the authority to act. Credibility ensures that we act wisely. And clear communication is what ties it all together.

Thank you for watching, and I would like to acknowledge **Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sophio Mkervolidze** at the **Global Forecasting School** for their guidance and support in producing this video.

See you there.

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Changing Roles: Board and Staff under FPAS Mark II

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November 2025

Note

FPAS Mark II is not just a new policy framework—it represents a fundamental shift in how board and staff work together. The move toward scenario-based analysis and a least-regrets mindset requires new habits, new incentives, and a different approach to collaboration.

Under FPAS Mark I, policy debates often gravitated around a single baseline. Under FPAS Mark II, the board focuses on strategic choices under uncertainty, while staff provide a structured set of realistic scenarios, risk assessments, and clear policy options. The quality of the policy discussion increasingly depends on the interaction between board and staff, and not on the models.

This episode explains how roles evolve in this new environment—what is expected from the board, what is expected from staff, and how both sides can align around a common decision-making and learning process.

Hello everyone, I'm **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. Welcome back to the CBA Academy Learning Hub. In this session, we'll explore how the roles of the Board and staff evolve under FPAS Mark II — the Prudent Risk Management Approach to Price Stability.

Under FPAS Mark I, most central banks relied on a single baseline forecast. The process was deterministic — everything revolved around one expected path for inflation and output. But as uncertainty in the global economy grew, that approach became too rigid.

FPAS Mark II replaces the deterministic baseline with structured, scenario-based analysis. The focus shifts from forecasting the future to managing risks across possible futures.

In this new environment, Board members are decision-makers under uncertainty. Their task is not to approve a single forecast, but to weigh alternative scenarios and assess how each might unfold depending on global shocks, transmission mechanisms, and behavioral responses. They deliberate on the least-regrets policy path — the one that minimizes potential losses if the world turns out differently than expected.

At the same time, the roles of staff have changed profoundly. Instead of defending a baseline, staff now act as facilitators of structured analysis. Their responsibility is to design coherent scenarios, quantify them with appropriate models, and clearly communicate the key uncertainties and trade-offs. FPAS Mark II makes staff the architects of the analytical framework, not the advocates of a single view.

Models continue to play a critical role in this system, but not all models are equally useful. Those that help us answer three fundamental questions stand at the heart of the framework. Where is the economy today? What are the driving forces behind its current trajectory? And what must we do with our instruments to achieve our objectives? Models that rely on massive judgmental adjustments or produce spurious statistical inputs have little value in policy work. The focus is on models that strengthen human capital and institutional learning, not on mechanical forecasting exercises.

The relationship between the Board and the staff is now collaborative and dynamic. Board members bring judgment, experience, and policy perspective. Staff bring structure, quantification, and clarity. Together, they build a shared language for understanding risk and uncertainty. Regular interaction through policy rounds, workshops, and scenario briefings ensures that analysis and judgment evolve together.

This redistribution of roles under FPAS Mark II emerged from the realization that modern central banking requires institutions to adapt to structural uncertainty. The framework was developed in response to global disruptions — pandemics, geopolitical shocks, and nonlinear responses in the world economy. By integrating risk-based policymaking within a structured scenario framework, FPAS Mark II allows decision-makers to compare alternative worlds rather than rely on deterministic forecasts.

For Board members, this means assessing the full distribution of risks around the inflation target. Their goal is to interpret the policy-relevant scenarios prepared by staff using a least-regrets criterion that emphasizes prudence when uncertainty is high. This

approach ensures that policy credibility is sustained even when outcomes deviate from expectations.

For staff, the analytical role centers on constructing the taxonomy of scenarios following the 3R principle — Related, Relevant, and Realistic. They quantify these scenarios using nonlinear models that include endogenous credibility and convex Phillips curve properties. They then present the implications clearly in the Executive Briefing before each policy round. Their ultimate goal is to help the Board understand trade-offs, not to dictate a single view.

FPAS Mark II also transforms the forecasting process into an ongoing feedback loop that builds institutional learning and human capital. As noted in the Prudent Risk Management Approach to Price Stability, each policy round strengthens internal accountability. Forecast errors and past assessments are treated as sources of insight — not as failures — allowing the institution to refine its models, processes, and communications. This continuous learning culture is what builds credibility over time.

The evolution in roles under FPAS Mark II ensures that decision-making becomes more transparent, by distinguishing analysis from judgment. It becomes more adaptive, by explicitly managing uncertainty. And it becomes more credible, by embedding prudence in every policy round.

In summary, FPAS Mark II transforms the institution. Board members decide under uncertainty. Staff facilitate structured learning and analysis. Models support, but never replace, informed human judgment. That is the essence of the Prudent Risk Management Approach to Price Stability — a living framework where every policy discussion strengthens institutional credibility.

Thank you for watching, and I would like to acknowledge **Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sophio Mkervolidze** at the **Global Forecasting School** for their guidance and support in producing this video.

See you there.

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Policy-Making Cycle and Policy-Relevant Analysis

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Note

The policy-making cycle under FPAS Mark II is designed to ensure disciplined, structured, and forward-looking decision-making. It emphasizes a continuous flow of information between staff and policymakers, integrating scenario analysis, uncertainty assessments, and real-time learning.

A key principle of FPAS Mark II is that analysis must be not only technically correct but also policy relevant. This means identifying what truly matters for the decision at hand, presenting risks clearly, and maintaining a direct line of sight from analysis → narrative → policy choice.

This lesson provides an overview of the modern policy-making cycle, the expectations at each stage, and how to transform technical work into actionable, decision-ready insights.

Hello everyone, I'm **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. Welcome back to the CBA Academy Learning Hub. In this session, we'll explore how FPAS Mark II reshaped the policy-making cycle and redefined what we mean by policy-relevant analysis.

The Prudent Risk Management Approach to Price Stability, also referred to as FPAS Mark II, represents a paradigm shift in how the Central Bank of Armenia conducts monetary policy. This approach recognizes that uncertainty is not an inconvenience to be minimized, but the natural state of the world that policymaking must internalize. As the manual puts it, we are no longer in a world where forecasting is an act of prediction; it is

an act of disciplined learning under uncertainty. This principle forms the foundation for both the 29-day policy cycle and the concept of policy-relevant analysis.

FPAS Mark II replaces the event-driven style of policymaking with a structured twenty-nine-day cycle designed to embed discipline, coordination, and continuous reflection into the decision-making process. Each stage of the cycle links analytical work directly to policy judgment. According to the CBA Academy’s onboarding framework, the twenty-nine-day policy cycle defines the rhythm of decision-making, assigning clear responsibilities to each stage of preparation. The rhythm of the policy cycle must be predictable, but the conversation within each round must remain dynamic. Regularity builds credibility; dynamism sustains learning. This design ensures that analytical and decision-making processes operate as one continuous loop. Learning is not postponed to post-mortems; it happens within the cycle itself.

During the first ten days, staff focus on diagnostics and data updates — reviewing new data, updating short-term projections, and assessing financial and external conditions. Between days eleven and twenty, attention turns to scenario development and testing. Staff refine alternative scenarios under the three-R principle: related, relevant, and realistic. The final stage, days twenty-one through twenty-nine, is dedicated to policy preparation and decision. During this period, staff draft the Executive Briefing, hold the Board seminar, and finalize the decision and communication. Each step builds on the last, making policy not a series of isolated events but a living, continuous process of disciplined learning.

Traditional FPAS Mark I systems centered on deterministic baselines. While this provided structure, it fostered what Douglas Laxton calls “the folly in baselines” — the illusion that there exists a single, correct forecast path. The Prudent Risk Management manual warns that overconfidence in a single baseline can institutionalize error. FPAS Mark II dismantles this mindset by embedding uncertainty directly into the analytical workflow. It requires staff to present multiple scenarios — not to confuse decision-makers, but to clarify risks. Each scenario represents a different version of reality, conditioned on alternative assumptions about shocks, transmission, and expectations formation. Policy must be judged not by how well the baseline turns out, but by how prudently the institution managed the distribution of risks around it.

This statement captures the essence of the least-regrets mindset. Policy is not an optimization exercise but a risk management act designed to avoid costly mistakes when the world behaves differently than expected.

Under FPAS Mark II, staff are instructed to focus their effort on producing policy-relevant analysis, not perfect forecasts. This approach bridges the gap between quantitative modeling and qualitative judgment. The manual defines policy-relevant analysis as the translation of analytical results into information that alters the Board’s understanding of risks and informs their choice under uncertainty. This means that good analysis integrates model outputs and expert judgment into coherent risk narratives. It quantifies uncertainty explicitly, often through fan charts, density forecasts, or scenario trees. And it prepares communication materials that help both the Board and the public understand not what the Bank expects, but what it fears and what it hopes for.

In the onboarding materials, the Central Bank highlights that policy-relevant analysis informs risk-based decisions by designing analysis around questions of credibility, trade-offs, and uncertainty.

The twenty-nine-day policy cycle also strengthens collaboration between staff and the Board. The staff’s role is not to defend a single baseline but to act as facilitators of structured dialogue. Board members, meanwhile, become decision-makers under uncertainty, guided by least-regrets reasoning. The manual articulates this cultural shift clearly: staff exist not to convince the Board but to prepare the Board for disciplined disagreement.

Each meeting within the cycle — from internal workshops to Board seminars — functions as a platform for this constructive tension. Disagreement is expected and valued when it sharpens collective understanding of risks. The final output of each round — the Executive Briefing — reflects this duality: clarity of evidence and humility of judgment. As the manual notes, the briefing document is not a forecast; it is a framework for decision-making under uncertainty.

FPAS Mark II transforms the central bank into a learning institution. Each policy cycle ends with reflection, as teams review forecast performance, evaluate communication effectiveness, and identify lessons for the next round. This feedback loop operationalizes what the manual calls institutional learning under uncertainty. Credibility is not achieved by avoiding mistakes, but by demonstrating the capacity to learn from them faster than others. The Central Bank’s internal structure — with its rotation of staff, training routines, and post-round reviews — institutionalizes this process. Learning becomes a permanent feature of policymaking rather than an afterthought.

The shift to the twenty-nine-day policy cycle and the emphasis on policy-relevant analysis have profound implications for monetary policy at the CBA. The structured cycle ensures predictability and rhythm, guaranteeing timely preparation and continuous

engagement between staff and the Board, which strengthens credibility. By distinguishing analysis from judgment, the institution achieves greater transparency and accountability. Continuous learning ensures resilience and adaptability, allowing the institution to respond flexibly to shocks without losing its anchor. The FPAS Mark II framework also treats staff training and skill rotation as part of the policy process itself, not as a separate human resources function. And finally, decision-making becomes less about precision and more about balance — weighing risks across possible futures.

As summarized in the manual, the future cannot be forecast, but it can be managed. The discipline of the policy cycle and the humility of least-regrets thinking together make credibility sustainable.

Thank you for watching, and I would like to acknowledge **Douglas Laxton, Martin Galstyan, Vahe Avagyan, Jared Laxton, Asya Kostanyan, and Sophio Mkervolidze** at the **Global Forecasting School** and **The Better Policy Project** for their guidance and support in producing this video.

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Analytical Toolkit and Modeling Innovations

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Note

FPAS Mark II is not defined by a single model. It is a suite of analytical tools and modeling approaches that work together to support risk-based, forward-looking monetary policy decisions. The goal is not to build the “perfect model”, but to design an analytical ecosystem that is robust, flexible, and policy relevant.

This lesson explores how different models and tools—structural models, satellite models, near-term forecasting tools, and scenario engines—fit into a coherent framework. It also highlights key modeling innovations that allow central banks to better capture nonlinearities, regime changes, and financial stability risks.

Hello everyone, I’m **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this session, we’ll explore the analytical toolkit and modeling innovations that form the foundation of FPAS Mark II, internally known as Mark II.

FPAS Mark II represents a major evolution in the monetary policy framework of the Central Bank of Armenia. The transition from FPAS Mark I to Mark II reflects a recognition that modern monetary policy cannot treat the world as linear, predictable, or expectation-invariant. Effective policy requires an analytical architecture capable of mapping nonlinear behavior, endogenous credibility, state dependence, and uncertainty. The analytical toolkit introduced in Mark II addresses these gaps directly and forms the basis for disciplined, risk-aware decision-making under uncertainty.

Under the first-generation framework, FPAS Mark I relied heavily on a deterministic baseline constructed from a linear Quarterly Projection Model. While this approach provided structure and transparency, it created several limitations. The framework could not capture nonlinearities in inflation dynamics. Credibility was assumed constant rather than modeled as a policy outcome. The system provided only a single central path that obscured important asymmetries in risks. And the analytical infrastructure made it difficult to integrate high-frequency indicators, financial conditions, and scenario-based thinking. Mark II was developed to overcome these limitations, building robustness directly into the analytical foundations of policy work.

One of the core enhancements of Mark II is the introduction of nonlinear structures into models of inflation, output, and transmission. The Phillips Curve is modeled as convex, consistent with empirical evidence that inflation responds more strongly when the economy is overheating than when it is below potential. This has major implications for monetary policy: tightening too late can lead to disproportionately large inflation costs, while early and measured action delivers smoother outcomes. These nonlinearities also allow policymakers to analyze how shocks differ depending on the state of the economy—an essential requirement for small open economies facing volatile external conditions.

A defining feature of FPAS Mark II is its treatment of credibility not as an input but as an evolving stock. Credibility is shaped by past policy decisions, communication, and the institution's ability to manage uncertainty. The Mark II manual emphasizes that expectations adjust in response to the perceived competence and consistency of the central bank. Modeling credibility as a dynamic variable allows policymakers to understand how policy mistakes can widen inflation expectations and how consistent behavior can anchor them. This deepens the link between policy decisions and long-term macroeconomic stability.

FPAS Mark II introduces a family of models designed to complement one another. The EndoCred Model captures endogenous credibility, asymmetric loss functions, nonlinear Phillips Curve dynamics, and state-dependent responses. MPMOD is a tractable semi-structural model used for real-time policy simulations. FCMOD is designed to analyze financial-cycle behavior, balance sheets, and credit risks. And the Linear-QPM is maintained for continuity and decomposition work where linear structures remain useful. By using a suite of models rather than a single workhorse, the system avoids over-reliance on the limitations of any one specification. Each model answers different questions, and together they provide a multidimensional view of the economy.

Mark II also introduces analytical dashboards that integrate information from models, markets, and short-term indicators. These dashboards allow policymakers to visualize how risks evolve within and across policy rounds. They include heat maps of inflation pressures, scenario-probability trees, financial-condition indexes, and high-frequency tracking of demand, supply, labor markets, credit, and external indicators. Dashboards reinforce the shift from point forecasts to risk distributions, enabling the Board to observe how uncertainty shifts in real time.

Another major innovation in Mark II is the adoption of improved measures of underlying inflation. The Near-Term Sticky Price Index, or NTSPI, isolates the slow-moving component of inflation that responds to persistent economic forces rather than volatile items. The NTSPI provides a clearer signal about medium-term price pressures and helps distinguish between temporary shocks and genuine changes in inflation trends. This measure strengthens the link between data interpretation and policy judgment.

FPAS Mark II does not treat judgment as an alternative to modeling. Instead, it places structured judgment at the center of the analytical workflow. Judgment is expressed through scenario design, shock interpretation, credibility assessments, and the weighting of model results. The system encourages staff to articulate how and why judgment modifies model outcomes, ensuring transparency while preserving expert insight. This elevates the quality of policy briefings and helps Board members understand the rationale behind decisions.

The analytical toolkit is particularly valuable for small open economies like Armenia, where shocks originate from global markets, geopolitical events, commodity prices, and external financial conditions. Nonlinearity, endogenous credibility, and dashboard-based monitoring allow policymakers to avoid mistakes that arise from relying solely on linear projections or deterministic scenarios. FPAS Mark II equips the institution to navigate a world defined by uncertainty, asymmetry, and persistent external shocks.

The analytical toolkit and modeling innovations of FPAS Mark II transform the central bank into a modern, risk-aware, forward-looking institution. By integrating nonlinear dynamics, endogenous credibility, scenario analysis, and improved measurement tools, the framework provides policymakers with the structure and flexibility needed to make disciplined, least-regrets decisions. Mark II is not merely an updated model—it is a comprehensive analytical ecosystem designed to support policy judgment under uncertainty.

Thank you for watching, and I would like to acknowledge **Douglas Laxton, Martin Galstyan, Jared Laxton, Asya Kostanyan, and Sophio Mkervolidze** for their guidance and support in producing this video.

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Dynamic Learning and Human Capital Development

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November 2025

Note

FPAS Mark II is built on the idea that a modern central bank is a learning organization. The framework only works if people—board members, senior management, and staff—continuously update their views in light of new data, new shocks, and new research.

Human capital is therefore not an “add-on” but a core pillar of the FPAS Mark II architecture. Investing in skills, incentives, and career paths is essential to sustain high-quality analysis, robust policy debates, and institutional memory.

This lesson highlights how dynamic learning and human capital development can be embedded into the daily life of a central bank, turning FPAS Mark II from a technical framework into a living culture.

Hello everyone, I’m **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this session, we explore how FPAS Mark II transforms the Central Bank of Armenia into a modern learning institution—one where human capital, knowledge sharing, and continuous improvement stand at the center of credible monetary policy.

FPAS Mark II transforms not only the analytical framework of monetary policy but also the institutional processes through which policymakers learn, collaborate, and develop expertise. For a small open economy like Armenia, where uncertainty is persistent and shocks originate from multiple external sources, human capital becomes a core pillar of the monetary policy framework. The FPAS Mark II manual emphasizes that disciplined

learning is central to sustaining credibility, strengthening judgment, and improving the quality of policy decisions over time.

Under FPAS Mark II, analytical tools and models are only as effective as the people who use them. The manual stresses that credibility comes not only from correct decisions but from the institution's demonstrated ability to learn and improve. This requires staff who can integrate modeling results, scenario analysis, financial data, and judgment-based narratives—a skill set developed over time through structured learning. FPAS Mark II positions human capital as a macroeconomic asset. Staff skills determine whether the institution can correctly diagnose risks, interpret uncertainty, and support least-regrets decisions.

The Mark II framework embeds learning directly into the policy cycle. After each round, teams conduct post-mortems assessing forecast accuracy, scenario usefulness, communication effectiveness, and risk interpretation. This ensures that lessons are carried into the next cycle, creating an institutional memory. The manual underscores that central banks cannot avoid mistakes—but they can demonstrate an ability to learn faster than others. This learning capacity is central to long-term credibility and to sustaining anchored expectations in a volatile world.

FPAS Mark II also introduces a structured rotation mechanism across teams. Analysts rotate between forecasting, scenario development, external-conditions monitoring, and specialized modules such as the financial cycle or inflation decomposition. This increases resilience by ensuring that institutional knowledge does not rest with a few individuals. Rotations prevent analytical silos, broaden skill sets, and ensure that staff gain exposure to multiple components of the FPAS system.

On-the-job learning is reinforced by structured training routines that include daily analytical briefings, weekly seminars on FPAS tools, monthly cross-team workshops, case-based exercises using past policy rounds, and internally taught courses on modeling, expectations, and risk assessment. These routines ensure that learning is continuous rather than sporadic. They also prepare staff to take on roles with higher responsibility, including presenting scenarios, leading policy workshops, and drafting executive briefings.

The Mark II framework also places strong emphasis on global learning. Staff participate in regional workshops, collaborate with partner institutions, present analytical work in international seminars, and engage with research communities. The manual views external learning as essential—exposing staff to new methodologies, alternative frameworks, and global best practices in uncertainty-aware policymaking.

Credibility in FPAS Mark II is shaped not only by decisions but by the institution’s demonstrated ability to adapt and improve. Transparent communication of learning, including acknowledgment of past errors, reinforces public trust. A central bank that learns is one that consistently upgrades its analytical capacity, reduces vulnerability to external shocks, and strengthens its long-term policy framework.

Dynamic learning and human capital development form the backbone of FPAS Mark II. By embedding learning routines, rotations, and continuous feedback loops into the policy process, the Central Bank of Armenia ensures that its staff remain adaptive, analytical, and capable of supporting risk-based decision-making. Human capital is not a complement to FPAS Mark II—it is one of its foundations.

Thank you for watching, and I would like to acknowledge **Douglas Laxton, Martin Galstyan, Jared Laxton, Asya Kostanyan, and Sophio Mkervolidze** at the **Global Forecasting School** and **The Better Policy Project** for their guidance and support in producing this video.

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Organization, Rotation, and Performance Management

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Note

Under FPAS Mark II, good monetary policy is not only about models and scenarios—it is also about how people are organized, how they rotate across roles, and how their performance is managed and developed over time. A well-designed organizational structure ensures that the central bank's scarce human capital is used efficiently to support the least-regrets, scenario-based policy framework.

This session explains how the roles of the Chief Economist, the Director of Operations, Group Managers, projection round teams, and Board Coordinators fit together. It also shows how a structured rotation system across teams and roles helps sustain the FPAS processes, supports learning-by-doing, and strengthens motivation, collaboration, and productivity.

Hello everyone, I'm **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**.

Today I'd like to walk you through how a modern Monetary Policy Department is organized under the FPAS Mark II framework, and how different roles work together to support high-quality forecasting, analysis, and decision making.

At the top of this structure is the Chief Economist, who also serves as the Head of the Monetary Policy Department. The Chief Economist is responsible for making sure all of the central bank's analytical resources—people, models, data, and time—are used efficiently to support the FPAS Mark II process. This person leads the main projects and

processes in the department, and on a rotating basis coordinates and leads one of the quarterly projection rounds. The Chief Economist is also a key bridge between the Board and the staff, giving direction to the rest of the leadership team, including the Director of Operations and group managers, on both analytical and human-capital matters. To succeed in this role, the Chief Economist needs not only unquestionable macroeconomic expertise and a deep understanding of monetary policy, but also the ability to manage, lead, and inspire people every day.

Supporting the Chief Economist is the Deputy Head of the Monetary Policy Department, also referred to as the Director of Operations. This is a highly skilled macroeconomist who focuses on the operational side of the department. The Director of Operations manages the department's core assets—its models, documentation, data, and procedures—oversees how staff are allocated across tasks, and helps shape training, testing, and feedback processes. This role also involves building platforms for knowledge sharing, such as brown-bag lunches, seminars, workshops, and conferences, and coordinating closely with other parts of the central bank, from IT, cybersecurity, and HR to statistics, research, and financial stability. In many ways, the Director of Operations is the best of the group managers: someone who is technically strong but also excels at organizing work and supporting others so that the whole system runs smoothly.

Working with them are the administrative group managers. These are advanced macroeconomists who have mastered the core competencies of FPAS Mark II and reached higher certification levels. But what truly defines their role is not just technical ability; it's their skill in managing people and developing human capital. We think of managers not as “bosses” in a narrow sense, but as leaders who coach staff, help them grow, and create a supportive team culture. Group managers still do analytical work themselves, but a significant share of their time goes into training and coaching staff during the FPAS process, collaborating with them on products, helping to manage resources across teams, and providing ongoing feedback, including performance reviews and updates of job responsibilities. To be effective, they need to be inspirational, people-oriented, and committed to building one-on-one relationships, fostering teamwork and collegiality, and helping others succeed. This is not about being the smartest economist in the room; it's about nurturing a strong, healthy, high-performing team.

At the core of the department are the macroeconomists. They are the engine of FPAS Mark II and form the foundation of the team's analytical capacity. Macroeconomists are responsible for building and running models, drafting monetary policy reports, conducting cutting-edge research on key macroeconomic topics, and performing current

analysis and scenario building. To operate at FPAS Mark II standards, they must be on track to becoming among the best in the world at what they do. This means having strong skills in current analysis, scenario design and policy analysis, clear communication, and modern macroeconomic theory and practice. They are expected to be fluent in both Armenian and English, have excellent command of advanced mathematics, and at least a working knowledge of coding languages such as R, Python, Matlab, or Julia. Underlying all of this is the most important trait: critical thinking. FPAS Mark II macroeconomists cannot simply accept that “the model says X, therefore it must be true,” or that a finding is correct just because famous economists have written about it. They must develop and defend their own views through rigorous reasoning and empirical analysis.

In addition to the internal staff, the framework also makes space for discrete project-based contract hires. Not all highly skilled macroeconomists, statisticians, or modelers can or want to commit to a full-time career path within the MPD, which requires being a team player and investing heavily in communication skills. However, their specific expertise can still be extremely valuable. To capture this, the department can bring such experts in for fixed-term projects, especially when highly specialized skills are needed that the internal team does not yet fully possess, or when time and resources are constrained. These contract hires might come from other central banks, international financial institutions, universities, or research institutions abroad. They can help with model development, specialized analysis, or programming, and an equally important contribution is the training and research collaboration they provide to the FPAS team.

A crucial part of this organizational structure is how staff are arranged during projection rounds. The Monetary Policy Department is organized into four teams, each made up of six macroeconomists. During each projection round, two of these teams are actively involved. One team takes the lead and does the “heavy lifting” by building and running the main scenarios—Case A, Case B, and, when necessary, additional cases like Case X or Y. They also draft the sections of the Monetary Policy Report that correspond to these scenarios and assist in preparing the Board presentation. The second team plays a supporting role, providing tactical and technical support, and helping the lead team where needed. Each round is led by a Projection Round Team Lead, chosen on a rotational basis, who serves as the thought leader for that cycle and is responsible for guiding the team through the daily work of the projection round and presenting content to the Board. This role is different from that of the group managers: the Team Lead’s focus is on leading the analysis and narrative of the round, while group managers focus on people and resource management. Throughout the round, the Team Lead also receives support and guidance from the Chief Economist.

Within the leading six-person team, responsibilities are structured carefully. Four macroeconomists are assigned to work on the case scenarios and take full ownership of the scenario-building process, as well as the relevant sections of the Monetary Policy Report. The remaining two members of the team serve as coordinators for individual Board members. They work directly with Board members from the kickoff meeting through to decision day, helping to translate the Board's concerns, ideas, and views into clear, structured one-page narratives that capture their understanding of the economy, the main drivers, and possible policy responses. These one-pagers are drafted in both the native language and English where relevant, and then submitted to the Chief Economist and the rest of the projection team, ensuring that the Board's perspectives are properly integrated into the scenarios and policy discussions.

After the projection round is completed, the case scenarios are locked in, the policy decision is taken, and the Monetary Policy Report is published. At that point, the round is formally over, and the focus shifts to preparing for the next policy cycle. The team that served as the back-up in the previous round now becomes the lead team for the upcoming projection. During the intervening period they take the lead in weekly macroeconomic monitoring meetings, prepare key analysis and stories that will feed into the next kickoff meeting, and continue work on research and improvements to the analytical toolkit. Over the course of a year, each of the four teams will lead a projection round once, serve as back-up once, and spend two quarters primarily on forward-looking work such as research, current analysis, and toolkit development. This rotation helps sustain the process over time, enhances productivity and efficiency, and supports a culture of collaboration, learning, and motivation across the department.

This is the essence of how FPAS Mark II envisions a modern Monetary Policy Department: with clearly defined, complementary roles; strong leadership; deep technical capacity; and a culture built on learning, critical thinking, and teamwork. Thank you for watching, and I hope this gives you a clearer picture of how all of these roles come together to support effective monetary policy.

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Strategic Communication in Modern Central Banking

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Note

In modern central banking, communication is itself a policy tool. Under FPAS Mark II, strategic communication links scenarios, risk assessments, and decisions into a coherent story that helps anchor expectations and build credibility.

Communication is not about predicting every detail of the future. It is about explaining the reaction function, the least-regrets mindset, and the way the central bank learns from new information. Good communication makes the policy framework understandable and predictable without becoming mechanical or rigid.

This session focuses on how to design and deliver communication that supports the FPAS Mark II framework—internally and externally.

Hello everyone, I'm **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this session, we'll explore the role of strategic communication in modern central banking and how it has become a core component of the FPAS Mark II framework.

Strategic communication is no longer a supplementary activity—it is a central instrument of modern monetary policy. Clear, transparent, and timely communication enhances credibility, stabilizes expectations, and allows the public and financial markets to better understand the central bank's assessment of risks. Under FPAS Mark II, communication is treated as a policy tool in its own right—one that manages uncertainty, anchors expectations, and strengthens accountability.

In earlier monetary regimes, communication was often treated as an afterthought, primarily descriptive rather than analytical. FPAS Mark II elevates it to a full-fledged policy instrument. It requires that communication not only describe what the central bank has done but explain how it thinks. Policy statements, press briefings, executive summaries, attributed minutes, and scenario-based explanations all work together to guide markets' understanding of policy intentions. The goal is not to provide perfect predictions but to clarify how the Board views risks and how it responds to uncertainty.

Strategic communication also strengthens transparency, which is essential for maintaining credibility—particularly in a small open economy like Armenia. FPAS Mark II sets high transparency standards by requiring clear explanations of policy decisions, structured presentation of scenarios, timely publication of minutes, and clear attribution of votes and reasoning. This transparency helps the public understand not only what the Bank decided but why it made those decisions in the face of uncertainty. Accountability is enhanced when Board members explain the reasoning behind their votes and their interpretations of risk.

Under FPAS Mark II, communication is structured around scenarios rather than deterministic forecasts. Instead of presenting a single baseline, the Bank explains multiple potential paths for inflation, growth, financial conditions, and external risks. This shifts communication from projecting certainty to presenting a distribution of risks. Scenario-based communication helps prevent misinterpretation by clarifying that it is risk—not a baseline—that drives policy. By explaining both upside and downside risks, the institution strengthens credibility and enables markets to form more informed expectations about future actions.

Monetary policy works largely through expectations—expectations of future interest rates, inflation, financial conditions, and global developments. FPAS Mark II recognizes that clear communication helps reduce uncertainty premiums and supports more efficient transmission of policy. When the public understands how the Bank interprets risks, how scenarios might evolve, and how credibility may influence inflation dynamics, expectations become more stable and better anchored. This reduces volatility and improves the effectiveness of policy interventions.

The Central Bank of Armenia uses a wide range of communication tools to reach different audiences. The Monetary Policy Report provides analytical depth. The Executive Statement offers a concise summary of decisions. Attributed minutes promote transparency. Press conferences and analyst briefings allow interactive clarification. Media interviews and public speeches extend outreach. And educational materials—such as those produced here at the CBA Learning Hub—help train future economists and

increase public understanding of policy. Each communication vehicle serves a distinct but complementary role, reinforcing the Bank’s credibility through consistency and clarity.

FPAS Mark II also emphasizes open risk communication. Concealing uncertainty damages credibility; embracing uncertainty strengthens it. The Bank gains trust by explaining what it knows, what it does not know, and how it plans to respond under different scenarios. By framing decisions through a least-regrets mindset, communication conveys that policy is designed to minimize costly mistakes when the world behaves differently than expected. This approach reinforces long-term credibility and helps maintain stable expectations even in times of volatility.

Strategic communication under FPAS Mark II is therefore central to effective monetary policy. It aligns expectations, manages uncertainty, strengthens accountability, and enhances credibility. By providing structured, scenario-based communication, the Central Bank of Armenia ensures that markets, analysts, and the public understand both the rationale behind decisions and the risks shaping them. Communication is no longer an accessory—it is a core component of modern monetary policy and one of the most powerful tools a central bank has to sustain trust.

Thank you for watching, and I would like to acknowledge **Douglas Laxton, Martin Galstyan, Vahe Avagyan, Jared Laxton, Asya Kostanyan, and Sophio Mkervolidze** at the **Global Forecasting School** and **The Better Policy Project** for their guidance and support in producing this video.

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Measuring and Enhancing Transparency

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Note

In this session, we explore how FPAS Mark II strengthens transparency as a core element of credible monetary policy. Transparency under FPAS Mark II helps anchor expectations, reduce uncertainty, and support clearer policy transmission. It lowers the risk of misinterpretation and helps markets internalize the central bank's risk assessment rather than relying on speculation.

Under FPAS Mark II, transparency is embedded throughout the framework: in scenario design, communication, minutes, forecasts, and post-round assessments. It is not cosmetic. It is foundational to how we explain our decisions and how we earn and maintain credibility over time.

Hello, my name is Susanna Grigoryan. I'm a Level One student at the Global Forecasting School and an economist at the Central Bank of Armenia.

In this video, we explore how FPAS Mark II strengthens transparency as a core element of credible monetary policy.

Transparency under FPAS Mark II helps anchor expectations, reduce uncertainty, and support clearer policy transmission. Transparency lowers uncertainty, anchors expectations, and strengthens policy transmission. It reduces the risk of misinterpretation and helps markets internalize the central bank's risk assessment rather than relying on speculation. Under FPAS Mark II, transparency is integrated into scenario design, communication, minutes, forecasts, and post-round assessments.

Transparency has several dimensions. Procedural transparency explains how decisions are made. Analytical transparency explains the models, scenarios, and evidence. Outcome transparency presents policy results clearly. Accountability transparency attributes reasoning and votes. These dimensions ensure that the public understands not just the decision, but the framework and reasoning behind it.

The Central Bank of Armenia uses multiple transparency tools. These include attributed minutes, individual votes and justifications, the Executive Statement, the Monetary Policy Report, scenario-based communication, press conferences, and analyst briefings. These tools help clarify the Board’s reasoning under uncertainty.

Scenario-based communication enhances transparency by showing alternative paths, risks, and trade-offs. It shifts expectations away from single deterministic forecasts and toward a balanced understanding of the distribution of risks. This strengthens public trust and policy credibility.

By explaining what we know, what we do not know, and how uncertainty affects decisions, we strengthen long-term credibility. Transparency ensures the public understands the reasoning behind decisions and the risks shaping them. Transparency is not cosmetic—it is foundational. FPAS Mark II embeds transparency into its analytical processes, communication strategy, and institutional culture, ensuring that credibility is earned through openness, clarity, and disciplined reasoning.

I would like to thank **Douglas Laxton, Martin Galstyan, Jared Laxton, Asya Kostanyan,** and **Sophio Mkervolidze** for their guidance and support in helping me prepare this video.

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Decision-Making Transparency and Individual Accountability

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Note

In this session, we explore how FPAS Mark II strengthens policy credibility through decision-making transparency and individual accountability. Decision-making transparency is a defining feature of FPAS Mark II. It shows how individual policymakers interpret risks, how they apply the least-regrets mindset, and how their votes shape policy outcomes.

For the Central Bank of Armenia, institutionalizing decision-making transparency and individual accountability is a major step toward world-class standards in monetary policy governance. Accountability extends beyond the institution to individual Board members, allowing the public to see who supported which decision, why they supported it, and how their reasoning fits within the FPAS Mark II framework.

Hello, my name is Susanna Grigoryan. I'm a Level One student at the Global Forecasting School and an economist at the Central Bank of Armenia.

In this video, we explore how FPAS Mark II strengthens policy credibility through decision-making transparency and individual accountability.

Decision-making transparency is a defining feature of FPAS Mark II. It strengthens credibility by showing how individual policymakers interpret risks, how they apply the least-regrets mindset, and how their votes shape policy outcomes. For the Central Bank of Armenia, institutionalizing decision-making transparency and individual

accountability marks a major step toward world-class standards in monetary policy governance.

Under FPAS Mark II, accountability is not limited to the institution—it extends to individual Board members. Accountability builds trust because it allows the public to see who supported what decision, why they supported it, and how their reasoning fits within the FPAS Mark II framework. Clear accountability incentivizes disciplined analysis, transparency in reasoning, and coherence in policy communication. It reinforces credibility by showing that decisions are made thoughtfully and consistently with the Bank’s mandate.

One of the most important innovations in FPAS Mark II is the publication of one-pagers. Each Board member’s vote is recorded along with a brief explanation of their reasoning. This level of transparency is exceptional globally. It enhances democratic legitimacy, public and market understanding, policy predictability, and trust in the decision-making process. Attributed minutes reveal not only the final decision, but the differing interpretations of risks and scenarios among Board members—providing insight into the uncertainty behind each round.

FPAS Mark II treats disagreement not as a weakness but as a strength. When Board members interpret risks differently, their perspectives help refine the institution’s understanding of uncertainty. The framework encourages reasoned disagreement, openness to alternative scenarios, clarification of asymmetric risks, and discipline in explaining judgments. Individual accountability allows the public to see these differences without undermining the unity of the institution’s final decision.

FPAS Mark II also includes strict timelines for publishing the Executive Statement, attributed minutes, the Monetary Policy Report, and supporting analytical materials. Timeliness reinforces credibility. Delayed communication creates uncertainty and weakens policy transmission. The structured timing ensures that the public receives information consistently and predictably, without room for speculation.

Individual accountability limits arbitrary decision-making. When Board members know their reasoning will be publicly available, policy discussions become more disciplined, evidence-based, and aligned with the FPAS Mark II framework. Transparency reduces political pressure, hidden biases, excessive reliance on unstructured judgment, and discretionary deviations from the analytical system. It promotes a culture in which decisions are supported by coherent reasoning and scenario-based analysis.

Decision-making transparency and individual accountability form a cornerstone of FPAS Mark II. By publishing votes, explanations, and minutes, the Central Bank of Armenia

demonstrates its commitment to openness, disciplined reasoning, and credible policymaking under uncertainty. This strengthens trust, anchors expectations, and enhances the effectiveness of monetary policy.

I would like to thank Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sophio Mkervolidze for their guidance and support in helping me prepare this video.

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The Accountability Framework

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Note

Accountability is a defining feature of FPAS Mark II. It ensures that monetary policy decisions are transparent, disciplined, and aligned with the mandate of price stability.

The Accountability Framework provides structure for how the Central Bank of Armenia evaluates policy outcomes, reviews internal processes, and communicates the results to the public. Under FPAS Mark II, accountability is continuous, not episodic—it is built directly into the 29-day policy cycle and the Bank’s communication strategy.

Hello, my name is Susanna Grigoryan. I’m a Level One student at the Global Forecasting School and an economist at the Central Bank of Armenia.

In today’s video, we explore how FPAS Mark II strengthens credibility through a robust Accountability Framework.

Accountability is a defining feature of FPAS Mark II. It ensures that monetary policy decisions are transparent, disciplined, and aligned with the mandate of price stability. The Accountability Framework gives structure to how the Central Bank of Armenia evaluates policy outcomes, reviews internal processes, and communicates results to the public.

Accountability reinforces credibility by demonstrating that decisions are evaluated against clear objectives, that mistakes are acknowledged and addressed, and that processes improve over time. Under FPAS Mark II, accountability is continuous, not

episodic. It is built directly into the 29-day policy cycle and the institutional communication strategy.

Policy success is assessed against inflation developments relative to the target, measures of underlying inflation, economic slack and labor market indicators, financial stability metrics, and external and geopolitical risks. FPAS Mark II emphasizes evaluating outcomes within an uncertainty-aware, least-regrets framework, avoiding rigid scorekeeping while maintaining transparency.

Internal accountability is strengthened through post-round reviews, forecast performance assessment, scenario effectiveness evaluations, credibility and expectations analysis, and communication quality checks. These reviews build institutional memory and reinforce learning across policy rounds.

Transparency also requires external accountability. This includes the publication of the Monetary Policy Report, the Executive Statement, attributed minutes, press conferences, and annual reviews. External accountability reinforces democratic legitimacy and allows experts, analysts, and the public to scrutinize policy decisions under FPAS Mark II.

Accountability is not merely procedural—it is cultural. FPAS Mark II promotes humility in decision-making, openness about uncertainty, willingness to revise assessments, and clear communication of risks. This culture ensures that accountability becomes a source of strength rather than constraint.

The Accountability Framework of FPAS Mark II ensures that the Central Bank of Armenia remains transparent, credible, and aligned with its mandate. By integrating accountability into analysis, communication, and institutional learning, the Bank strengthens public trust and enhances policy effectiveness.

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